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Hi INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.,

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Transaction Code: **AFS-0-9786F6AE08A8D97DDM321XN3R0MS114YR3**

Submission Date/Time: **Mar 06, 2025 11:28 AM**

Company TIN: **000-323-228**

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**STATEMENT OF MANAGEMENT'S RESPONSIBILITY
FOR PARENT COMPANY FINANCIAL STATEMENTS**

The management of International Container Terminal Services, Inc. (the Company) is responsible for the preparation and fair presentation of the parent company financial statements as of and for the years ended December 31, 2024 and 2023, in accordance with PFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of the parent company financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the parent company financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

The Board of Directors reviews and approves the parent company financial statements and submits the same to the stockholders.

SyCip Gorres Velayo & Co., the independent auditors appointed by the stockholders, have audited the parent company financial statements of the Company in accordance with Philippine Standards on Auditing, and in their report to the stockholders, have expressed their opinion on the fairness of presentation upon completion of such audit.



Enrique K. Razon, Jr.
Chairman and President



Emilio Manuel V. Pascua
Senior Vice President, Chief
Financial Officer, and Chief Risk
Officer



Arlyn L. McDonald
Vice President, Global Financial
Controller

Signed this 5th day of March 2025.

SUBSCRIBED AND SWORN to before me this 5th day of March 2025 affiants personally appeared before me, exhibiting to me their respective government issued identification cards with photographs as follows:

NAMES	PASSPORT NO.	DATE OF ISSUE	PLACE OF ISSUE
Enrique K. Razon, Jr.			Manila
Emilio Manuel V. Pascua			Manila
Arlyn L. McDonald			Manila

Doc. No. 57
Page No. 12
Book No. 02
Series of 2025.



ATTY. HILARIO A. UNTAYAO
Not. Com. Expires 31 December 2025
Roll No. 83825 - IBP No. 360061 (2024)
PTR No. 5581573 (2025-Quezon City)
MCLÉ No. VIII-0000998 (Until 2025)
28 Columbia St., Cubao, Quezon City

COVER SHEET

for

AUDITED FINANCIAL STATEMENTS

SEC Registration Number

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COMPANY NAME

I	N	T	E	R	N	A	T	I	O	N	A	L		C	O	N	T	A	I	N	E	R		T	E	R	M	I	N
A	L		S	E	R	V	I	C	E	S	,		I	N	C	.													

PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

I	C	T	S	I		A	d	m	i	n	i	s	t	r	a	t	i	o	n		B	u	i	l	d	i	n	g	,	
	M	a	n	i	l	a		I	n	t	e	r	n	a	t	i	o	n	a	l		C	o	n	t	a	i	n	e	
r		T	e	r	m	i	n	a	l	,		S	o	u	t	h		A	c	c	e	s	s		R	o	a	d	,	
	M	a	n	i	l	a																								

Form Type

A	P	F	S
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Department requiring the report

C	R	M	D
---	---	---	---

Secondary License Type, If Applicable

	N	A	
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COMPANY INFORMATION

Company's Email Address

corpsec@ictsi.com

Company's Telephone Number

8245-4101

Mobile Number

09189352138

No. of Stockholders

1,340

Annual Meeting (Month / Day)

04/15

Fiscal Year (Month / Day)

12/31

CONTACT PERSON INFORMATIONThe designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

Arlyn L. McDonald

Email Address

alacanienta@ictsi.com

Telephone Number/s

8245-4101

Mobile Number

09178454608

CONTACT PERSON'S ADDRESS

3F ICTSI Administration Building, Manila International Container Terminal, South Access Road, Manila

NOTE 1 : In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2 : All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.



INDEPENDENT AUDITOR'S REPORT

The Stockholders and the Board of Directors
International Container Terminal Services, Inc.
ICTSI Administration Building, Manila International
Container Terminal, South Access Road, Manila

Report on the Audit of the Parent Company Financial Statements

Opinion

We have audited the parent company financial statements of International Container Terminal Services, Inc (the Company), which comprise the parent company balance sheets as at December 31, 2024 and 2023, and the parent company statements of income, parent company statements of comprehensive income, parent company statements of changes in equity and parent company statements of cash flows for the years then ended, and notes to the parent company financial statements, including a summary of material accounting policy information.

In our opinion, the accompanying parent company financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2024 and 2023, and its financial performance and its cash flows for the years then ended in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Parent Company Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the parent company financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Parent Company Financial Statements

Management is responsible for the preparation and fair presentation of the parent company financial statements in accordance with PFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of parent company financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the parent company financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.



Auditor's Responsibilities for the Audit of the Parent Company Financial Statements

Our objectives are to obtain reasonable assurance about whether the parent company financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these parent company financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the parent company financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the parent company financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the parent company financial statements, including the disclosures, and whether the parent company financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

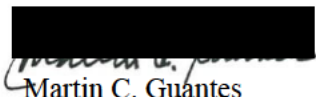


Report on the Supplementary Information Required Under Revenue Regulations 15-2010

Our audits were conducted for the purpose of forming an opinion on the parent company financial statements taken as a whole. The supplementary information required under Revenue Regulations 15-2010 in Note 30 to the parent company financial statements is presented for purposes of filing with the Bureau of Internal Revenue and is not a required part of the basic financial statements. Such information is the responsibility of the management of International Container Terminal Services, Inc. The information has been subjected to the auditing procedures applied in our audit of the basic financial statements. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements taken as a whole.

The engagement partner on the audit resulting in this independent auditor's report is Martin C. Guantes.

SYCIP GORRES VELAYO & CO.



Martin C. Guantes

Partner

CPA Certificate No. 

Tax Identification No. 

BOA/PRC Reg. No. 0001, April 16, 2024, valid until August 23, 2026

BIR Accreditation No. 08-001998-052-2023, October 23, 2023, valid until October 22, 2026

PTR No. 10465311, January 2, 2025, Makati City

March 5, 2025



INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.
PARENT COMPANY BALANCE SHEETS

	December 31	
	2024	2023
ASSETS		
Noncurrent Assets		
Investments in and advances to subsidiaries (Notes 4, 16 and 21)	US\$2,752,186,417	US\$2,468,949,156
Intangible assets (Notes 5 and 23)	739,312,090	683,827,304
Property and equipment (Note 6)	70,098,735	24,714,438
Investment properties (Note 7)	86,962,945	87,366,964
Deferred tax assets - net (Note 20)	65,538,014	76,359,228
Other noncurrent assets (Note 8)	67,680,386	37,733,831
Total Noncurrent Assets	3,781,778,587	3,378,950,921
Current Assets		
Cash and cash equivalents (Note 9)	376,302,679	152,447,839
Receivables (Note 10)	32,628,424	27,632,759
Spare parts and supplies	9,643,405	8,724,244
Prepaid expenses and other current assets (Note 11)	30,731,655	19,181,997
Derivative assets (Note 25)	19,288,909	3,119,942
Total Current Assets	468,595,072	211,106,781
	US\$4,250,373,659	US\$3,590,057,702
EQUITY AND LIABILITIES		
Equity		
Capital stock (Note 12):		
Preferred stock	US\$236,222	US\$236,222
Common stock	67,330,188	67,330,188
Additional paid-in capital (Notes 12 and 16)	381,166,049	378,185,362
Treasury shares (Note 12)	(80,907,455)	(43,796,649)
Retained earnings (Note 12)	770,819,389	627,247,967
Other comprehensive loss - net (Notes 8 and 12)	(52,151,255)	(62,408,262)
Total Equity	1,086,493,138	966,794,828
Noncurrent Liabilities		
Long-term debt (Note 13)	1,238,599,187	691,302,156
Concession rights payable - net of current portion (Notes 5 and 23)	244,622,931	239,308,593
Lease liability - net of current portion (Note 8)	14,094,370	—
Due to related parties (Note 21)	1,304,301,991	1,512,842,847
Retirement liability (Note 22)	2,735,822	4,329,473
Derivative liabilities (Note 25)	—	32,233,134
Total Noncurrent Liabilities	2,804,354,301	2,480,016,203
Current Liabilities		
Loans payable (Note 14)	155,597,964	—
Current portion of concession rights payable (Notes 5 and 23)	12,457,772	6,706,444
Accounts payable and other current liabilities (Note 15)	148,670,692	111,039,975
Lease liability - current portion (Note 8)	1,239,295	—
Due to related parties (Note 21)	14,106,886	15,150,699
Derivative liabilities (Note 25)	14,205,755	—
Income tax payable (Note 20)	13,247,856	10,349,553
Total Current Liabilities	359,526,220	143,246,671
Total Liabilities	3,163,880,521	2,623,262,874
	US\$4,250,373,659	US\$3,590,057,702

See accompanying Notes to Parent Company Financial Statements.



INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.
PARENT COMPANY STATEMENTS OF INCOME

	Years Ended December 31	
	2024	2023
INCOME		
Gross revenues from port operations (Note 23)	US\$610,712,152	US\$578,282,257
Dividend income (Note 21)	359,556,123	171,281,911
Foreign exchange gain	68,416,782	17,884,924
Interest income (Note 9)	17,113,283	3,836,174
Other income (Notes 7, 17 and 21)	101,863,287	69,401,123
	1,157,661,627	840,686,389
EXPENSES		
Philippine Ports Authority's share in gross revenues (Notes 17 and 23)	128,775,796	122,627,552
Manpower costs (Notes 16, 21 and 22)	46,720,655	38,242,000
Equipment and facilities-related expenses (Note 18)	22,732,765	19,004,333
Administrative and other operating expenses (Notes 19 and 21)	86,382,250	73,008,392
Depreciation and amortization (Notes 5, 6, 7 and 8)	52,793,502	50,326,523
Interest expense and financing charges on borrowings (Notes 13, 14, 21 and 25)	153,886,700	137,882,888
Interest expense on concession rights payable	14,380,096	13,811,069
Interest expense on lease liability	61,318	—
Foreign exchange loss	66,190,315	21,006,839
Other expenses (Note 17)	3,989,024	61,180,787
	575,912,421	537,090,383
CONSTRUCTION REVENUE (EXPENSE) (Note 5)		
Construction revenue	81,899,558	36,150,527
Construction expense	(81,899,558)	(36,150,527)
	—	—
INCOME BEFORE INCOME TAX	581,749,206	303,596,006
PROVISION FOR INCOME TAX (Note 20)		
Current	33,788,888	27,017,860
Deferred	5,049,905	3,307,070
	38,838,793	30,324,930
NET INCOME	US\$542,910,413	US\$273,271,076
EARNINGS PER SHARE (Note 27)		
Basic	US\$0.267	US\$0.135
Diluted	0.266	0.134

See accompanying Notes to Parent Company Financial Statements.



INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.
PARENT COMPANY STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31	
	2024	2023
NET INCOME	US\$542,910,413	US\$273,271,076
OTHER COMPREHENSIVE INCOME (LOSS) - Net of tax		
<i>Items to be reclassified to profit or loss in subsequent periods</i>		
Net unrealized mark-to-market gain (loss) on derivatives (Note 25)	10,167,394	(5,397,744)
Foreign currency translation loss on concession rights payable (Note 25)	(217,378)	—
<i>Items not to be reclassified to profit or loss in subsequent periods</i>		
Net unrealized mark-to-market gain on financial assets at fair value through other comprehensive income (Note 8)	1,041,864	388,535
Remeasurement loss on defined benefit plan (Note 22)	(734,873)	(896,616)
	10,257,007	(5,905,825)
TOTAL COMPREHENSIVE INCOME	US\$553,167,420	US\$267,365,251

See accompanying Notes to Parent Company Financial Statements.



INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.
PARENT COMPANY STATEMENTS OF CHANGES IN EQUITY
FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023

	Preferred Stock (Note 12)	Common Stock (Note 12)	Additional Paid-in Capital (Notes 12 and 16)	Treasury Shares (Note 12)	Retained Earnings (Note 12)	Other Comprehensive Loss - Net (Notes 8 and 12)	Total
Balance at December 31, 2023	US\$236,222	US\$67,330,188	US\$378,185,362	(US\$43,796,649)	US\$627,247,967	(US\$62,408,262)	US\$966,794,828
Net income	—	—	—	—	542,910,413	—	542,910,413
Other comprehensive income	—	—	—	—	—	10,257,007	10,257,007
Total comprehensive income	—	—	—	—	542,910,413	10,257,007	553,167,420
Cash dividends (Note 12)	—	—	—	—	(399,338,991)	—	(399,338,991)
Issuance of treasury shares for share-based payments (Note 16)	—	—	(6,055,031)	6,055,031	—	—	—
Purchase of treasury shares (Note 12)	—	—	—	(43,165,837)	—	—	(43,165,837)
Share-based payments (Note 16)	—	—	9,035,718	—	—	—	9,035,718
Balance at December 31, 2024	US\$236,222	US\$67,330,188	US\$381,166,049	(US\$80,907,455)	US\$770,819,389	(US\$52,151,255)	US\$1,086,493,138
Balance at December 31, 2022	US\$236,222	US\$67,330,188	US\$377,650,170	(US\$49,213,822)	US\$724,244,100	(US\$56,502,437)	US\$1,063,744,421
Net income	—	—	—	—	273,271,076	—	273,271,076
Other comprehensive income	—	—	—	—	—	(5,905,825)	(5,905,825)
Total comprehensive income	—	—	—	—	273,271,076	(5,905,825)	267,365,251
Cash dividends (Note 12)	—	—	—	—	(370,267,209)	—	(370,267,209)
Issuance of treasury shares for share-based payments (Note 16)	—	—	(6,481,377)	6,481,377	—	—	—
Purchase of treasury shares (Note 12)	—	—	—	(1,064,204)	—	—	(1,064,204)
Share-based payments (Note 16)	—	—	7,016,569	—	—	—	7,016,569
Balance at December 31, 2023	US\$236,222	US\$67,330,188	US\$378,185,362	(US\$43,796,649)	US\$627,247,967	(US\$62,408,262)	US\$966,794,828

See accompanying Notes to Parent Company Financial Statements.



INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.
PARENT COMPANY STATEMENTS OF CASH FLOWS

	Years Ended December 31	
	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	US\$581,749,206	US\$303,596,006
Adjustments for:		
Interest expense and financing charges on:		
Borrowings (Notes 13, 14, 21 and 25)	153,886,700	137,882,888
Concession rights payable	14,380,096	13,811,069
Lease liability	61,318	–
Unrealized mark-to-market loss (gain) on derivatives (Notes 17 and 25)	(15,045,380)	55,434,360
Depreciation and amortization (Notes 5, 6, 7 and 8)	52,793,502	50,326,523
Dividend income (Note 21)	(359,556,123)	(171,281,911)
Unrealized foreign exchange loss (gain) - net	(27,359,374)	4,405,082
Share-based payments (Note 16)	3,525,057	3,120,717
Interest income (Note 9)	(17,113,283)	(3,836,174)
Gain on sale of property and equipment (Note 17)	(2,503,055)	(6,363)
Operating income before changes in working capital	384,818,664	393,452,197
Decrease (increase) in:		
Receivables	(5,195,950)	1,510,994
Spare parts and supplies	(919,161)	(296,169)
Prepaid expenses and other current assets	(18,309,895)	(5,847,495)
Increase (decrease) in:		
Accounts payable and other current liabilities	35,618,335	(12,518,458)
Retirement liability	(2,437,243)	(1,640,671)
Cash generated from operations	393,574,750	374,660,398
Income taxes paid	(24,119,559)	(32,105,429)
Net cash flows provided by operating activities	369,455,191	342,554,969
CASH FLOWS FROM INVESTING ACTIVITIES		
Decrease (increase) in:		
Investments in and advances to subsidiaries	(275,800,318)	59,250,471
Other noncurrent assets	(11,851,217)	(15,892,885)
Acquisition of:		
Intangible assets (Note 5)	(81,899,558)	(36,179,962)
Property and equipment (Note 6)	(48,251,312)	(7,334,160)
Dividends received	358,436,093	171,277,377
Payments for concession rights	(10,777,620)	(11,440,107)
Interest received	17,113,283	3,836,174
Proceeds from sale of property and equipment	2,596,239	26,280
Net cash flows provided by (used in) investing activities	(50,434,410)	163,543,188
CASH FLOWS FROM FINANCING ACTIVITIES		
Decrease in due to related parties	(196,883,007)	(174,157,375)
Proceeds from:		
Short-term borrowings (Note 14)	162,601,200	200,000,000
Long-term borrowings (Note 13)	547,297,031	395,905,000
Payments of:		
Dividends (Note 12)	(394,285,045)	(366,075,196)
Interest on borrowings and concession rights payable	(170,825,484)	(152,988,047)
Interest on lease liability	(61,318)	–
Lease liability	(100,638)	–
Short-term borrowings (Note 14)	–	(362,790,000)
Long-term borrowings (Note 13)	–	(100,000,000)
Purchase of treasury shares (Note 12)	(43,165,837)	(1,064,204)
Net cash flows used in financing activities	(95,423,098)	(561,169,822)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	257,157	96,396
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	223,854,840	(54,975,269)
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	152,447,839	207,423,108
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 9)	US\$376,302,679	US\$152,447,839

See accompanying Notes to Parent Company Financial Statements.



INTERNATIONAL CONTAINER TERMINAL SERVICES, INC.

NOTES TO PARENT COMPANY FINANCIAL STATEMENTS

1. Corporate Information

1.1 General

International Container Terminal Services, Inc. (ICTSI or the Company) was incorporated in the Philippines and registered with the Philippine Securities and Exchange Commission (SEC) on December 24, 1987. The registered office address of the Company is ICTSI Administration Building, Manila International Container Terminal (MICT) South Access Road, Manila. ICTSI's common shares are publicly traded in the Philippine Stock Exchange (PSE).

The Company is mainly engaged in development, management and operation of container terminals.

The parent company financial statements were authorized for issue in accordance with a resolution of the Board of Directors (the Board) on March 5, 2025.

1.2 Management, Operation and Development of the MICT and Iloilo Commercial Port Complex (ICPC)

The Company has a contract with the Philippine Ports Authority (PPA) for the exclusive management, operation and development of the MICT for a period of 25 years starting May 18, 1988, which was extended for another 25 years until May 18, 2038.

In January 2024, the PPA awarded to ICTSI a 25-year contract to develop and operate the ICPC. In April 2024, the Company received from the PPA the notice to proceed and the 25-year contract for the exclusive management, operation and development of the ICPC was entered between ICTSI and PPA on the same date. ICTSI established a branch office in Iloilo to operate the ICPC. The registered address of the branch office is Baseport, Iloilo Commercial Port Complex, Loboc-Lapuz, Iloilo City.

Details on volume and gross revenue by location for the years ended December 31 follows:

	2024			2023		
	Manila	Iloilo	Total	Manila	Iloilo	Total
Volume						
<i>in TEUs</i>	2,938,618	79,282	3,017,900	2,787,545	–	2,787,545
<i>in Metric Tonnes</i>	1,094,064	1,480,082	2,574,146	882,506	–	882,506
Gross revenues						
<i>Containerized</i>	US\$593,397,289	US\$3,529,192	US\$596,926,481	US\$576,201,884	US\$–	US\$576,201,884
<i>Non-containerized</i>	2,663,301	11,122,370	13,785,671	2,080,373	–	2,080,373
	US\$596,060,590	US\$14,651,562	US\$610,712,152	US\$578,282,257	US\$–	US\$578,282,257



1.3 Subsidiaries, Joint Ventures and Associate

The subsidiaries, joint ventures and associate include:

	Place of Incorporation	Nature of Business	Functional Currency	Percentage of Ownership			
				2024		2023	
				Direct	Indirect	Direct	Indirect
Subsidiaries:							
Asia							
Victoria International Container Terminal (VICT)	Australia	Port Management	Australian Dollar	–	100.00	–	100.00
Yantai International Container Terminal Ltd. (YICT)	China	Port Management	Renminbi	–	51.00	–	51.00
PT ICTSI Jasa Prima Tbk (IJP) and Subsidiaries ^(a)	Indonesia	Maritime infrastructure and logistics	US Dollar	–	–	–	80.19
PT PBM Olah Jasa Andal (OJA) ^(a)	Indonesia	Port Management	US Dollar	–	–	–	80.19
PT Makassar Terminal Services (MTS) ^(b)	Indonesia	Port Management	Indonesian Rupiah	–	95.00	–	95.00
PT East Java Development (EJD)	Indonesia	Port Management	Indonesian Rupiah	66.67	–	66.67	–
Motukea International Terminal Ltd. (MITL)	Papua New Guinea	Port Management	Papua New Guinean Kina	–	70.00	–	70.00
South Pacific International Container Terminal Ltd. (SPICTL)	Papua New Guinea	Port Management	Papua New Guinean Kina	–	70.00	–	70.00
Bauan International Port, Inc. (BIPI)	Philippines	Port Management	Philippine Peso	–	100.00	–	100.00
Cavite Gateway Terminal (CGT)	Philippines	Port Management	Philippine Peso	–	100.00	–	100.00
Davao Integrated Port and Stevedoring Services Corp. (DIPSSCOR) ^(c)	Philippines	Port Management	Philippine Peso	–	96.95	–	96.95
Laguna Gateway Inland Container Terminal, Inc. (LGICT)	Philippines	Port Management	Philippine Peso	–	60.00	–	60.00
Manila Harbor Center Port Services, Inc. (MHCPSP)	Philippines	Port Management	Philippine Peso	100.00	–	100.00	–
Manila North Harbour Port, Inc. (MNHPI)	Philippines	Port Management	Philippine Peso	50.00	–	50.00	–
Mindanao International Container Terminal Services, Inc. (MICTSI)	Philippines	Port Management	Philippine Peso	100.00	–	100.00	–
Subic Bay International Terminal Holdings, Inc. (SBITHI)	Philippines	Holding Company	US Dollar	90.50	–	90.50	–
ICTSI Subic, Inc. (ICTSI Subic)	Philippines	Port Management	US Dollar	–	90.50	–	90.50
Subic Bay International Terminal Corporation (SBITC)	Philippines	Port Management	US Dollar	–	90.50	–	90.50
South Cotabato Integrated Port Services, Inc. (SCIPSI)	Philippines	Port Management	Philippine Peso	35.82	14.41	35.82	14.41
Visayas Container Terminal (VCT) ^(d)	Philippines	Port Management	Philippine Peso	100.00	–	–	–
Catalyst Logistics Incorporated (CLI) ^(e)	Philippines	Freight Forwarder	Philippine Peso	–	51.00	–	51.00
Sevilla Brokerage Incorporated (SBI)	Philippines	Customs Broker	Philippine Peso	–	80.00	–	80.00
IW Cargo Handlers, Inc.	Philippines	Port Equipment Rental	US Dollar	–	100.00	–	100.00
IWI Container Terminal Holdings, Inc. (IWI CTHI)	Philippines	Warehousing	Philippine Peso	100.00	–	100.00	–
Container Terminal Systems Solutions Philippines, Inc.	Philippines	Software Developer	US Dollar	–	100.00	–	100.00
ICTSI Asia Pacific Business Services, Inc. (APBS)	Philippines	Business Process Outsourcing	US Dollar	–	100.00	–	100.00
Abbotsford Holdings, Inc. (AHI)	Philippines	Holding Company	Philippine Peso	100.00	–	100.00	–
Cordilla Properties Holdings, Inc.	Philippines	Holding Company	Philippine Peso	100.00	–	100.00	–
Intermodal Terminal Holdings, Inc. (ITH)	Philippines	Holding Company	Philippine Peso	100.00	–	100.00	–
ICTSI Ltd. Regional Operating Headquarters (ROHQ)	Philippines	Regional Operating Headquarters	US Dollar	–	100.00	–	100.00
ICTSI Ltd. Regional Headquarters	Philippines	Regional Headquarters	Philippine Peso	–	100.00	–	100.00
ICTSI Ltd.	Bermuda	Holding Company	US Dollar	–	100.00	–	100.00
Tungsten RE Ltd.	Bermuda	Insurance Company	US Dollar	–	100.00	–	100.00
Global Procurement Ltd.	Bermuda	Holding Company	US Dollar	–	100.00	–	100.00
ICTSI Honduras Ltd.	Bermuda	Holding Company	US Dollar	–	100.00	–	100.00
Aeolina Investments Limited	British Virgin Islands	Holding Company	US Dollar	–	100.00	–	100.00
Crixus Limited	British Virgin Islands	Holding Company	US Dollar	–	100.00	–	100.00
Pentland International Holdings, Ltd.	British Virgin Islands	Holding Company	US Dollar	–	100.00	–	100.00
<i>(Forward)</i>							
New Muara Container Terminal Services Sdn Bhd (NMCTS)	Brunei	Port Management	Brunei Dollar	–	100.00	–	100.00

(a) Disposed effective February 1, 2024

(b) Ceased commercial operations effective January 31, 2023

(c) Ceased commercial operations effective June 30, 2022

(d) Established in March 2024

(e) Incorporated on October 14, 2022 with ICTSI having 51% of the shareholding; started commercial operations in July 2023



	Place of Incorporation	Nature of Business	Functional Currency	Percentage of Ownership			
				2024		2023	
				Direct	Indirect	Direct	Indirect
International Container Terminal Holdings, Inc. (ICTHI)	Cayman Islands	Holding Company	US Dollar	100.00	–	100.00	–
ICTSI Georgia Corp. (IGC)	Cayman Islands	Holding Company	US Dollar	–	100.00	–	100.00
Asiastar Consultants Limited ^(f)	Hong Kong	Management Services	US Dollar	–	–	–	100.00
ICTSI (Hong Kong) Limited (IHKL)	Hong Kong	Holding Company	US Dollar	–	100.00	–	100.00
PT Container Terminal System Solutions, Inc.	Indonesia	Software Developer	US Dollar	–	100.00	–	100.00
ICTSI Mauritius Ltd.	Mauritius	Holding Company	US Dollar	–	100.00	–	100.00
Consultports S.A. de C.V.	Mexico	Business Development Office (BDO)	Mexican Peso	–	100.00	–	100.00
ICTSI Americas B.V. (Multinational Headquarters)	Panama	BDO	US Dollar	–	100.00	–	100.00
International South Pacific, Ltd. (ISPL)	Papua New Guinea	Holding Company	Papua New Guinean Kina	–	100.00	–	100.00
ICTSI QFC LLC ^(g)	Qatar	Holding Company	US Dollar	–	–	–	100.00
ICTSI Far East Pte. Ltd. (IFEL)	Singapore	Holding Company	US Dollar	–	100.00	–	100.00
ICTSI Africa Headquarters (Pty) Ltd	South Africa	Holding Company	US Dollar	–	100.00	–	100.00
SPIA Spain S.L.	Spain	Holding Company	US Dollar	–	100.00	–	100.00
CGSA Transportadora S.L.	Spain	Holding Company	US Dollar	–	100.00	–	100.00
ICTSI Americas B.V. (IABV)	The Netherlands	Holding Company	US Dollar	–	100.00	–	100.00
ICTSI Africa B.V.	The Netherlands	Holding Company	US Dollar	–	100.00	–	100.00
ICTSI EMEA B.V. (IEBV)	The Netherlands	Holding Company	US Dollar	–	100.00	–	100.00
ICTSI Treasury B.V. (ITBV)	The Netherlands	Holding Company	US Dollar	–	75.00	–	75.00
ICTSI Global Finance B.V. (IGFBV)	The Netherlands	Holding Company	US Dollar	–	75.00	–	75.00
ICTSI Global Holdings B.V.	The Netherlands	Holding Company	US Dollar	100.00	–	100.00	–
ICTSI Oceania B.V. (IOBV)	The Netherlands	Holding Company	US Dollar	–	100.00	–	100.00
ICTSI Tuxpan B.V.	The Netherlands	Holding Company	US Dollar	–	100.00	–	100.00
CGSA B.V.	The Netherlands	Holding Company	US Dollar	–	100.00	–	100.00
CMSA B.V.	The Netherlands	Holding Company	US Dollar	–	100.00	–	100.00
Royal Capital B.V. (RCBV)	The Netherlands	Holding Company	US Dollar	–	75.00	–	75.00
SPIA Colombia B.V.	The Netherlands	Holding Company	US Dollar	–	100.00	–	100.00
ICTSI (M.E.) DMCC (ICTSI Dubai)	United Arab Emirates	BDO	US Dollar	100.00	–	100.00	–
ICTSI Middle East DMCC	United Arab Emirates	Holding Company	US Dollar	100.00	–	100.00	–
ICTSI Durban DMCC ^(h)	United Arab Emirates	Holding Company	US Dollar	100.00	–	100.00	–
ICTSI Santos DMCC ^(h)	United Arab Emirates	Holding Company	US Dollar	100.00	–	100.00	–
Container Terminal de Venezuela Conterven CA (CTVCC)	Venezuela	Holding Company	US Dollar	–	95.00	–	95.00
Europe, Middle East and Africa (EMEA)							
Kribi Multipurpose Terminal (KMT)	Cameroon	Port Management	XAF	–	75.00	–	75.00
Adriatic Gate Container Terminal (AGCT)	Croatia	Port Management	Euro	–	51.00	–	51.00
ICTSI DR Congo S.A. (IDRC)	DR Congo	Port Management	US Dollar	–	58.00	–	58.00
Batumi International Container Terminal LLC (BICTL)	Georgia	Port Management	US Dollar	–	100.00	–	100.00
ICTSI (M.E.) DMCC Iraq Branch (ICTSI Iraq)	Iraq	Port Management	US Dollar	–	100.00	–	100.00
Madagascar International Container Terminal Services, Ltd. (MICTSL)	Madagascar	Port Management	Euro	–	100.00	–	100.00
International Container Terminal Services Nigeria Ltd.	Nigeria	Port Management	US Dollar	–	75.00	–	75.00
International Container Terminal Services (FZE)	Nigeria	Port Management	Nigerian Naira	–	75.00	–	75.00
Baltic Container Terminal Ltd. (BCT)	Poland	Port Management	US Dollar	–	100.00	–	100.00
Pakistan International Container Terminal Ltd. (PICT) ⁽ⁱ⁾	Pakistan	Port Management	Pakistani Rupee	–	79.71	–	80.41
Africa Gateway Terminal (AGT) ⁽ⁱ⁾	Sudan	Port Management	Euro	–	100.00	–	100.00
Tartous International Container Terminal, Inc. (TICT)	Syria	Port Management	US Dollar	100.00	–	100.00	–
Americas							
Tecplata S.A. (Tecplata)	Argentina	Port Management	US Dollar	–	100.00	–	100.00
Nuevos Puertos S. A.	Argentina	Holding Company	US Dollar	4.00	96.00	4.00	96.00
Tecon Suape, S.A. (TSSA)	Brazil	Port Management	Brazilian Real	51.00	49.00	51.00	49.00
ICTSI Rio Brasil Terminal 1 S.A. (ICTSI Rio)	Brazil	Port Management	Brazilian Real	–	100.00	–	100.00

(Forward)

- (f) Dissolved effective April 5, 2024
(g) Deregistered from Qatar Financial Centre (QFC) on July 14, 2024
(h) Established in October 2023
(i) Concession agreement ended on June 17, 2023. Sold 0.7% stake in December 2024.
(j) Established in February 2019 and has not started commercial operations as at March 5, 2025



	Place of Incorporation	Nature of Business	Functional Currency	Percentage of Ownership			
				2024		2023	
				Direct	Indirect	Direct	Indirect
IRB Logística S.A. (previously IRB Logística Ltda) ^(k)	Brazil	Rail Ramp Terminal Management	Brazilian Real	–	70.00	–	70.00
DF3 Empreendimento S.A. (DF3) ^(k)	Brazil	Real Estate	Brazilian Real	–	70.00	–	70.00
IRB Holding Ltda	Brazil	Holding Company	Brazilian Real	–	100.00	–	100.00
Armazéns Gerais Sul das Gerais S.A. (CLIA Pouso Alegre) ^(l)	Brazil	Logistics Solutions Provider	Brazilian Real	–	60.00	–	60.00
Rio Logística Multimodal e Participações Ltda (RLMP) ^(m)	Brazil	Holding Company	Brazilian Real	–	100.00	–	100.00
Rio Logística e Participações Ltda ^(m)	Brazil	Holding Company	Brazilian Real	–	100.00	–	100.00
Contecon Guayaquil, S.A. (CGSA)	Ecuador	Port Management	US Dollar	51.00	49.00	51.00	49.00
Logipuerto S.A.	Ecuador	Logistics Solutions Provider	US Dollar	–	100.00	–	100.00
Operadora Portuaria Centroamericana, S.A. (OPC)	Honduras	Port Management	US Dollar	30.00	70.00	30.00	70.00
Contecon Manzanillo S.A. (CMSA)	Mexico	Port Management	Mexican Peso	1.00	99.00	1.00	99.00
CMSA Servicios Portuarios SA De CV (CMSA SP)	Mexico	Manpower Services	Mexican Peso	–	100.00	–	100.00
CMSA Servicios Profesionales Y De Especialistas SA De CV (CMSA SP Especialistas)	Mexico	Manpower Services	Mexican Peso	–	100.00	–	100.00
Contecon Manzanillo Logista SA de CV	Mexico	Logistics Solutions Provider	Mexican Peso	–	100.00	–	100.00
Terminal Maritima de Tuxpan S.A. de C.V. (TMT)	Mexico	Port Management	Mexican Peso	–	100.00	–	100.00
C. Ultramar, S.A.	Panama	Holding Company	US Dollar	–	100.00	–	100.00
Future Water, S.A.	Panama	Holding Company	US Dollar	–	100.00	–	100.00
Kinston Enterprise, Inc.	Panama	Holding Company	US Dollar	–	100.00	–	100.00
International Ports of South America and Logistics SA	Uruguay	Holding Company	US Dollar	–	100.00	–	100.00
ICTSI Oregon, Inc. ⁽ⁿ⁾	U.S.A.	Port Management	US Dollar	–	100.00	–	100.00
Joint Ventures:							
Sociedad Puerto Industrial Aguadulce SA (SPIA)	Colombia	Port Management	US Dollar	–	49.79	–	49.79
Falconer Aircraft Management, Inc. (FAMI)	Philippines	Aircraft Management	Philippine Peso	–	49.98	–	49.98
Aviation Concepts Technical Services, Inc. (ACTSI)	Philippines	Aircraft Management	US Dollar	–	49.99	–	49.98
Associate:							
Asiaview Realty and Development Corporation (ARDC)	Philippines	Realty	Philippine Peso	–	49.00	–	49.00

2. Basis of Preparation and Statement of Compliance

2.1 Basis of Preparation

The parent company financial statements have been prepared on a historical cost basis, except for financial assets at fair value through other comprehensive income (FVOCI) and derivative financial instruments which have been measured at fair value. The parent company financial statements are presented in United States dollars (US dollar, USD or US\$), the Company's functional currency. All values are rounded to the nearest US dollar unit, except when otherwise indicated.

2.2 Statement of Compliance

The parent company financial statements, which are prepared for submission to the Philippine Bureau of Internal Revenue (BIR), have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

(k) In July 2023, IRB Holding acquired 70% stake in iTracker Logística Inteligente Ltda. (iTracker). Effective August 31, 2023, iTracker was merged with IRB Logística, with IRB Logística as the surviving entity. On the same date, IRB Logística disposed 30% stake to noncontrolling interest. Consequently, as a result of IRB Logística's disposal of 30% stake to noncontrolling interest, ICTSI's effective ownership stake in DF3 also decreased by 30%.

(l) Acquired 60% shareholdings on September 5, 2023

(m) Established in September 2023

(n) Dissolved effective January 16, 2025



The Company issues consolidated financial statements for the same period as the parent company financial statements presented in accordance with PFRS Accounting Standards. These may be obtained at the SEC Head Office, 7907 Makati Avenue, Salcedo Village, Barangay Bel-Air Makati City or at the Company's registered office address.

3. Summary of Material Accounting Policies, Significant Accounting Judgments, Estimates and Assumptions

3.1.1 Changes in Accounting Policies

The accounting policies adopted are consistent with those of the previous financial year except that the Company has adopted the following amended standards as at January 1, 2024. The Company has not early adopted any other pronouncement that has been issued but is not yet effective. Unless otherwise indicated, the adoption of these new standards did not have an impact on the parent company financial statements.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current and Non-current Liabilities with Covenants*

The amendments clarify:

- That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

The amendments had no impact on the Company's financial statements because the Company's accounting policies are aligned with the amendments to PAS 1.

- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

The amendments had no impact on the Company's financial statements because the Company does not have any sale and leaseback transactions.

- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

The amendments had no impact on the Company's financial statements because the Company does not have any supplier finance arrangements.



3.1.2 Significant Accounting Judgments, Estimates and Assumptions

Judgments

In the process of applying the Company's accounting policies, management has made the following judgments, apart from those involving estimations, which have the most significant effect on the amounts recognized in the parent company financial statements:

Determination of Control over an Investee Company. Control is presumed to exist when an investor is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Functional Currency. Management uses judgment in assessing the functional currency of the Company. Management has determined the Company's functional currency to be the US dollar, which is the currency that best reflects the economic substance of the underlying events and circumstances relevant to the Company.

Determination of Uncertainties Over its Income Tax Treatments. The Company applied significant judgement in identifying any uncertainties over its income tax treatments. The Company did not have any significant uncertainties over its income tax treatments.

Contingencies. The Company is currently a party in a number of legal cases and negotiations involving cargo, labor, tax, contracts and other issues. The Company's estimate of the probable costs for the resolution of these cases and negotiations has been developed in consultation with outside counsels handling defense for these matters and is based upon an analysis of probable results. Management and its legal counsels believe that the Company has substantial legal and factual bases for its position and is of the opinion that losses arising from these legal actions, if any, will not have a material adverse impact on the Company's financial position and results of operations. It is possible, however, that future results of operations could be materially affected by changes in estimates or in the effectiveness of strategies relating to these proceedings. Provision for claims and losses as at December 31, 2024 and 2023 amounted to US\$4.8 million and US\$6.3 million, respectively (see Notes 15 and 24).

Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at the balance sheet date that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below:

Recognition of Construction Revenue. The Company's revenue from construction services relating to IFRIC 12 service concession arrangement is recognized over time using an input method based on actual costs incurred to date relative to the total estimated costs to complete the construction. The estimated costs to complete the construction are mainly based on committed investments provided in the concession contracts.

The carrying amount of contract assets arising from construction services and included as part of concession rights amounted to US\$54.9 million and US\$49.9 million as at December 31, 2024 and 2023, respectively.



Impairment of Nonfinancial Assets. Impairment exists when the carrying value of an asset or cash generating unit (CGU) exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs of disposing of the asset. The value-in-use calculation is based on a discounted cash flow (DCF) model and requires the Company to make an estimate of the expected future cash flows from the asset or cash-generating unit and also to choose a suitable discount rate to calculate the present value of those cash flows. The recoverable amount is sensitive to the discount rate used for the DCF model.

The carrying amounts of investments in subsidiaries, intangible assets, property and equipment, and investment properties are disclosed in Notes 4, 5, 6 and 7 to the parent company financial statements, respectively.

Estimating Useful Lives. Management determines the estimated useful lives and the related depreciation charges for its property and equipment, and investment properties based on the period over which these assets are expected to provide economic benefits. Such estimations are based on collective assessment of industry practice, internal technical evaluation, and experience with similar assets. These estimations are reviewed periodically and could change significantly due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of these assets.

Management will increase the depreciation and amortization charges where useful lives are less than what have previously been estimated. A reduction in the estimated useful lives of these assets will increase recorded expenses and decrease noncurrent assets. The carrying values of property and equipment, and investment properties are disclosed in Notes 6 and 7 to the parent company financial statements, respectively.

Defined Benefit Obligation. The determination of the present value of the defined benefit obligation is dependent on the selection of certain assumptions provided by the Company to its actuary in calculating such amounts. Those assumptions include discount rate and future salary increases. Due to its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions.

The carrying value of the Company's defined benefit obligation is disclosed in Note 22 to the parent company financial statements.

Measurement of Expected Credit Losses (ECL) for Trade Receivables. The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., by customer type).

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrices to adjust the historical credit loss experience with forward-looking information. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions.

The carrying values of receivables and the related allowance for ECL of the Company are disclosed in Note 10.



3.2 Material Accounting Policies

Investments in Subsidiaries

Investments in subsidiaries are carried at cost less accumulated probable losses, if any. Under the cost method, the Company recognizes income from the investment in subsidiaries when its right to receive dividend is established.

Intangible Assets

Separately acquired intangible assets are initially recognized at cost.

The Company classifies concession rights as intangible asset when it entitles the Company to charge users in exchange for cargo handling services the Company provides. Such right arises from service concession arrangement within the scope of IFRIC 12, *Service Concession Arrangements*, whereby the grantor (a government entity), controls or regulates the services provided to the customers as well as the prices charged to them. The grantor controls any significant residual interest in the infrastructure at the end of the term of the arrangement. The cost of concession rights comprises of upfront fees, present value of the fixed concession fees payable to the port authority, construction cost of port infrastructure and purchase price of port equipment committed to be invested by the Company under the concession contract and borrowing costs, if the concession right takes a substantial time to get ready for its intended use, and adjusted for any subsequent remeasurement of concession rights payable.

Concession rights are subject to impairment assessment. Concession rights are amortized on a straight-line basis over the term of the 25-year concession contracts.

Computer software is amortized on a straight-line basis over five years.

Property and Equipment

Land is measured at cost net of accumulated impairment losses, if any. All other property and equipment is stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. The cost of property and equipment includes applicable borrowing cost if the asset takes a substantial time to get the asset ready for its intended use.

Depreciation of property and equipment is computed on a straight-line basis over the estimated useful lives of the assets, as follows:

	Number of Years
Port facilities and equipment and spare parts	5-25 years or the term of the concession contract, whichever is shorter
Transportation equipment	3-5 years
Office equipment, furniture and fixtures	3-5 years
Miscellaneous equipment	5 years

Construction in progress is not depreciated until such time the relevant asset is completed and available for operational use.



Investment Properties

Land is measured at cost net of accumulated impairment losses, if any. All other investment properties are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any.

Investment properties (except land) are depreciated on a straight-line basis over the estimated useful life of 15 years.

Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The Company as a Lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use Assets. The Company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the lease term of 10 years. Right-of-use assets are subject to impairment assessment.

Lease Liabilities. At the commencement date of the lease, the Company recognizes lease liabilities measured at the present value of lease payments to be made over the lease term.

In calculating the present value of lease payments, the Company uses the incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made.

The Company as Lessor.

Leases where the Company does not transfer substantially all the risks and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognized over the lease term on the same bases as rental income. Contingent rents are recognized as income in the period in which they are earned.

Impairment of Non-financial Assets

The Company assesses, at each balance sheet date, whether there is an indication that an asset (e.g., property and equipment, investment properties, concession rights, computer software, investments in subsidiaries) may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or a CGU's fair value less costs of disposal and its value-in-use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case, recoverable amount is determined for the CGU to which the asset belongs. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.



In assessing value in use, the estimated future cash flows are discounted to their present value using the pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used.

Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Initial Recognition and Measurement of Financial Assets

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. With the exception of the Company's trade receivables, the Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables are measured at the transaction price, i.e., the amount of consideration the Company is entitled to collect from the customers in exchange for services rendered.

Subsequent Measurement of Financial Assets

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets measured at amortized cost (debt instruments)
- Financial assets measured at FVOCI, where cumulative gains or losses previously recognized are reclassified to profit or loss (debt instruments)
- Financial assets measured at FVOCI, where cumulative gains or losses previously recognized are not reclassified to profit or loss
- Financial assets measured at fair value through profit or loss

The Company classifies debt instrument financial asset as at amortized cost only if the asset gives rise to cash flows that are 'solely payments of principal and interest' on the principal amount outstanding and that such asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows.

The Company does not have debt instruments measured at FVOCI.

Financial Assets at Amortized Cost. Financial assets at amortized cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Company's financial assets at amortized cost include cash in banks, cash equivalents, receivables, short-term investments, and due from related parties.

Equity Instruments at FVOCI. The Company has irrevocably elected to measure equity instruments not held for trading at FVOCI. Dividends on such investments are recognized in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment, in which case, such recovery is recognized in OCI. Equity investments at FVOCI are not subject to impairment assessment.

Financial Assets at Fair Value Through Profit or Loss (FVTPL). The Company's financial assets at FVTPL consist of derivative instruments not designated as hedging instruments.



Impairment of Financial Assets

The Company recognizes an allowance for ECLs for all debt instruments not held at FVTPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

For debt instruments that meet the investment grade criteria, the Company applies the low credit risk simplification and measures the loss allowance based on a 12-month ECL. For debt instruments that ceases to meet the investment grade criteria, the Company measures the loss allowance based on lifetime ECL.

The Company considers a financial asset in default when contractual payments are 120 days past due. In certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company.

A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Initial Recognition and Measurement of Financial Liabilities

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings, net of directly attributable transaction costs.

Subsequent Measurement of Financial Liabilities

For purposes of subsequent measurement, financial liabilities are classified in two categories:

- Financial liabilities at amortized cost
- Financial liabilities at fair value through profit or loss

Financial Liabilities at Amortized Cost. After initial recognition, these financial liabilities are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process.

The Company's financial liabilities at amortized cost include trade and other payables, long-term debt, loans payable, concession rights payable and lease liabilities.

Financial Liabilities at FVTPL. The Company's financial liabilities at FVTPL consist of derivative instruments not designated as hedging instruments.



Hedge Accounting

The Company uses derivative financial instruments, such as forward currency contracts and interest rate swaps, to hedge its foreign currency risks and interest rate risks, respectively. Such derivative financial instruments are initially recognized at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. For the purpose of hedge accounting, hedges are classified as:

- Fair value hedges when hedging the exposure to changes in the fair value of a recognized asset or liability or an unrecognized firm commitment
- Cash flow hedges when hedging the exposure to variability in cash flows that is either attributable to a particular risk associated with a recognized asset or liability or a highly probable forecast transaction or the foreign currency risk in an unrecognized firm commitment

At the inception of a hedge relationship, the Company formally designates and documents the hedge relationship to which it wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge. The documentation includes identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the Company will assess whether the hedging relationship meets the hedge effectiveness requirements (including the analysis of sources of hedge ineffectiveness and how the hedge ratio is determined).

Hedges that meet all the qualifying criteria for hedge accounting are accounted for, as described below:

Fair Value Hedges. The change in the fair value of a hedging instrument is recognized in the profit or loss. The change in the fair value of the hedged item attributable to the risk hedged is recorded as part of the carrying value of the hedged item and is also recognized in the profit or loss.

Cash Flow Hedges. The effective portion of the gain or loss on the hedging instrument is recognized in OCI, whereas any ineffective portion is recognized immediately in the profit or loss. The amount taken to OCI is adjusted to the lower of the cumulative gain or loss on the hedging instrument and the cumulative change in fair value of the hedged item.

The amounts accumulated in OCI are accounted for, depending on the nature of the underlying hedged transaction. If the hedged transaction subsequently results in the recognition of a non-financial item, the amount accumulated in equity is removed from the separate component of equity and included in the initial cost or other carrying amount of the hedged asset or liability. For any other cash flow hedges, the amount accumulated in OCI is reclassified to profit or loss as a reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

If cash flow hedge accounting is discontinued, the amount that has been accumulated in OCI must remain in accumulated OCI if the hedged future cash flows are still expected to occur. Otherwise, the amount will be immediately reclassified to profit or loss as a reclassification adjustment. After discontinuation, once the hedged cash flow occurs, any amount remaining in accumulated OCI must be accounted for depending on the nature of the underlying transaction as described above.

Cash and Cash Equivalents

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less and are subject to an insignificant risk of change in value.



Spare Parts and Supplies

Spare parts and supplies inventories are valued at the lower of cost and net realizable value. Net realizable value is the current replacement cost.

Cost is determined using the first-in, first-out method. If the cost of spare parts and supplies inventories exceeds its net realizable value, write-downs are made for the difference between the cost and the net realizable value.

Concession Rights Payable

At the commencement date of the service concession arrangement within the scope of IFRIC 12, the Company recognizes as concession rights payable the present value of concession fee payments to be made over the term of the concession. The concession fee payments include fixed (including “in-substance” fixed) payments and variable payments that depend on an index or a rate. The variable concession payments that do not depend on an index or a rate are recognized as expense in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of the concession fee payments, the Company estimates the discount rate that reflects time value of money and risk assumptions such as own credit risk. Observable inputs such as market interest rates are used as applicable.

The carrying amount of concession rights payable is remeasured if there is a change in future concession fee payments resulting from a change in an index or a rate used to determine those payments.

Accounts Payable and Other Current Liabilities

This account classification includes the following:

Trade Payable. Trade payable represents payable to port authorities other than concession rights pertaining to upfront fees payable in installments and fixed fees, such as accrual of variable portion of port fees and those payable to suppliers and vendors of goods and services.

Accrued Expenses. Accrued expenses are accruals for interest, salaries and benefits, and output and other taxes, among others.

Customers’ Deposits. Customers’ deposits represent advance payment of customers subject to refund or for future billing applications.

Provision for Claims and Losses. Provision for claims and losses pertains to estimated probable losses on cargo and labor-related and other claims from third parties. Provision for claims and losses not settled at the balance sheet date is reassessed and adjusted, as necessary.

Retention Payable. Retention payable represents the portion of contractor billings which will be paid by the Company upon satisfaction by the contractors of the conditions specified in the contract.

Share-based Payments

Certain qualified officers and employees of the Company and subsidiaries receive remuneration for their services in the form of equity shares of the Company (equity-settled transactions).

The cost of equity-settled transactions with officers and employees is measured by reference to the fair value of the equity shares of the Company at the date on which these are granted.



The cost of equity-settled transactions is recognized, together with a corresponding increase in equity (through “Additional Paid-in Capital” account), over the period in which the service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (the vesting date). The cumulative expense recognized for equity-settled transactions at each balance sheet date until the vesting date reflects the extent to which the vesting period has transpired and the Company’s best estimate of the number of equity instruments that will ultimately vest. No expense is recognized for awards that do not ultimately vest because service conditions have not been met.

Post-Employment Benefits

Defined Benefit Plan. The liability or asset recognized in the parent company balance sheet in respect of defined benefit plan is the present value of the defined benefit obligation less the fair value of plan assets. The defined benefit obligation is calculated annually by an independent actuary using the projected unit credit method. This method sees each period of service as giving rise to an additional unit of benefit entitlement and measures each unit separately to build up the final obligation.

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms approximating to the terms of the related obligation. Where there is no deep market in such bonds, the market rates on government bonds are used.

The Company recognizes the following changes in the net defined benefit obligation under Manpower Costs in the parent company income statement:

- Service costs comprising current service costs, any past service costs, gains and losses on curtailments and non-routine settlements
- Net interest expense or income, which is calculated by applying the discount rate to the net defined benefit liability or asset

Remeasurements gains and losses arising from experience adjustments and changes in actuarial assumptions are recognized in other comprehensive income in the period in which they arise. Such gains and losses are not reclassified to profit or loss in subsequent periods.

Defined Contribution Plans. Payments to defined contribution plans are recorded as expense in the parent company statement of income when employees have rendered services entitling them to the contributions. The Company has no further obligations once the contributions have been paid.

Foreign Currencies

Transactions in foreign currencies are initially recorded at US dollars ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated to US dollars at period end using the closing exchange rate at balance sheet date with any foreign exchange gains or losses recorded in the parent company statement of income.

Nonmonetary items that are measured at historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Nonmonetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Revenue Recognition

Revenue from contracts with customers is recognized when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services, which is based on tariff rates published by the port authority. The measurement of revenue takes into account contractually defined terms of



payment, excluding incentives and output taxes. The Company has concluded that it is the principal in its revenue arrangements because it is the primary obligor who is responsible for providing the services to the customers.

The following specific recognition criteria must also be met before revenue is recognized:

Gross Revenues from Port Operations. Revenue from port operations (stevedoring, arrastre and other cargo handling services) is recognized when the services are rendered. Payment is generally due once services are rendered.

Construction Revenue. Revenue from construction services relating to IFRIC 12 service concession arrangements is recognized over time using an input method based on actual costs incurred to date relative to the total estimated costs to complete the construction. The estimated costs to complete the construction are mainly based on committed investments as provided for in the concession contracts. Such revenue is measured at the fair value of the construction services provided.

Expenses

Expenses are recognized as incurred. Expenses constitute the following:

Philippine Ports Authority's Share in Gross Revenues. PPA's share in gross revenues includes variable fees paid to the port authority as stipulated in the concession contracts.

Manpower Costs. Manpower costs include remunerations and benefits provided by the Company to its officers and employees such as salaries, wages, allowances and bonuses, among others.

Equipment and Facilities-related Expenses. Equipment and facilities-related expenses include expenses incurred for operations and general repairs and maintenance of the Company's port facilities and other equipment including consumption of fuel, oil and lubricants, contracted services, power, light and water and technology and systems development expenses.

Administrative and Other Operating Expenses and Losses. Administrative and other operating expenses include costs of administering the business as incurred by administrative and corporate departments such as professional fees, transportation and travel, taxes and licenses, security and janitorial services, insurance and bonds, representation, utilities, claims and losses and general office expenses.

Income Taxes

Provision for income tax represents the sum of taxes currently payable and deferred tax. The tax currently payable is based on taxable profit for the year.

Deferred Tax. Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the balance sheet date.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

- where the deferred tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income or loss and does not give rise to equal taxable and deductible temporary differences; and



- in respect of taxable temporary differences associated with investments in subsidiaries, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized for all deductible temporary differences and carryforward benefits of unused tax credits and unused tax losses or net operating loss carryover (NOLCO), to the extent that it is probable that sufficient future taxable income will be available against which the deductible temporary differences, and the carryforward benefits of unused tax credits and NOLCO can be utilized.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient future taxable profits will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each balance sheet date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the balance sheet date to the extent that such tax rates and tax laws are not based on the Pillar Two model rules published by the Organization for Economic Cooperation and Development.

Earnings Per Share

Basic earnings per common share is computed by dividing the Company's net income by the weighted average number of common shares outstanding during each year after considering the retroactive effect of any stock dividends declared during the year.

Diluted earnings per common share is computed in the same manner, adjusted for the effect of the shares issuable to qualified officers and employees under the Company's stock incentive plan which are assumed to be vested at the date of grant.

Where the effect of the vesting of stock under the stock incentive plan is anti-dilutive, basic and diluted earnings per share are stated at the same amount.

Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Company expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the parent company statement of income, net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense.

Contingencies

Contingent assets and liabilities are not recognized in the parent company financial statements. Contingent assets are disclosed in the notes to parent company financial statements when an inflow of economic benefits is probable and recognized in the parent company balance sheet and the related income in the parent company statement of income when an inflow of economic benefits is virtually certain. On the other hand, contingent liabilities are disclosed in the notes to parent company



financial statements unless the possibility of an outflow of resources embodying economic benefits is remote.

Events after the Balance Sheet Date

Post year-end events that provide additional information about the Company's position at the balance sheet date (adjusting events) are reflected in the parent company financial statements. Post year-end events that are not adjusting events are disclosed in the notes to parent company financial statements when material.

3.3 Future Changes in Accounting Policies

Pronouncements issued but not yet effective as at December 31, 2024 are listed below. The Company intends to adopt the following pronouncements when they become effective. Unless otherwise indicated, either the adoption of these pronouncements is not expected to have a significant impact on or upon effectivity of the pronouncement, is not applicable to the parent company financial statements of the Company.

Effective beginning on or after January 1, 2025

- Amendments to PAS 21, *Lack of Exchangeability*

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

When applying the amendments, an entity cannot restate comparative information.

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Amendments to the Classification and Measurement of Financial Instruments*

The amendments:

- Introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met
- Clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features
- Clarify the treatment of non-recourse assets and contractually linked instruments
- Update the disclosure requirements for equity instruments designated at fair value through other comprehensive income

- Amendments to PFRS 9 and PFRS 7, *Contracts Referencing Nature-dependent Electricity*

The amendments:

- Clarify the application of the 'own-use' requirements
- Permit hedge accounting if these contracts are used as hedging instruments
- Add new disclosure requirements to enable investors to understand the effect of these contracts on a company's financial performance and cash flows



- Annual Improvements to PFRS Accounting Standards (Volume 11)

Annual improvements are limited to changes that either clarify the wording in an accounting standard or correct relatively minor unintended consequences, oversights, or conflicts between the requirements in the accounting standards. The 2024 amendments are to the following standards:

- Amendments to PFRS 7, *Financial Instruments: Disclosures*, and its accompanying Guidance on implementing PFRS 7
- Amendments to PFRS 9, *Financial Instruments*
- Amendments to PFRS 10, *Consolidated Financial Statements*
- Amendments to PAS 7, *Statement of Cash Flows*

Effective beginning on or after January 1, 2027

- PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

- PFRS 18, *Presentation and Disclosure in Financial Statements*

PFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new.

PFRS 18 also requires disclosure of newly defined management-defined performance measures, subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements and the notes.

PFRS 18 will apply retrospectively. The Company aims to identify all impacts the amendments will have on the financial statements prior to adoption of PFRS 18.

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.



On January 13, 2016, the Financial and Sustainability Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the International Accounting Standards Board completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

4. Investments in and Advances to Subsidiaries

	2024	2023
Investments in Subsidiaries		
Balance at beginning of year	US\$2,457,115,296	US\$2,472,905,714
Additions during the year	79,452,300	40,750,453
Share-based payments (Notes 16 and 21.1)	5,275,048	3,660,241
Return of equity (Note 21.1)	(27,314,251)	(60,201,112)
	2,514,528,393	2,457,115,296
Allowance for probable loss	(14,017,350)	(14,017,350)
Balance at end of year	2,500,511,043	2,443,097,946
Advances (net of allowance for probable loss of US\$7 thousand as at December 31, 2024 and 2023) (see Note 21.1)	251,675,374	25,851,210
	US\$2,752,186,417	US\$2,468,949,156

Additions to investments in subsidiaries in 2024 pertains to additional investments made by the Company to EJD, MHCPSI and VCT (Note 21.1), whereas additions in 2023 pertains to additional investments made by the Company to ICTHI, EJD and IWI CTHI (Note 21.1)

5. Intangible Assets

This account consists of:

	2024					
	Concession Rights				Computer Software	Total
	Port Infrastructure	Fixed Fees	Upfront Fees	Subtotal		
Cost						
Balance at beginning of year	US\$706,920,865	US\$348,560,229	US\$16,394,900	US\$1,071,875,994	US\$17,837,481	US\$1,089,713,475
Additions	81,899,558	22,242,943	–	104,142,501	–	104,142,501
Write-off	–	–	–	–	(648,706)	(648,706)
Balance at end of year	788,820,423	370,803,172	16,394,900	1,176,018,495	17,188,775	1,193,207,270
Accumulated Amortization						
Balance at beginning of year	234,882,090	148,060,639	6,962,368	389,905,097	15,981,074	405,886,171
Amortization	32,486,214	14,570,147	655,796	47,712,157	296,852	48,009,009
Balance at end of year	267,368,304	162,630,786	7,618,164	437,617,254	16,277,926	453,895,180
Net Book Value	US\$521,452,119	US\$208,172,386	US\$8,776,736	US\$738,401,241	US\$910,849	US\$739,312,090



2023						
	Concession Rights				Computer Software	Total
	Port Infrastructure	Fixed Fees	Upfront Fees	Subtotal		
Cost						
Balance at beginning of year	US\$670,770,338	US\$348,560,229	US\$16,394,900	US\$1,035,725,467	US\$17,808,046	US\$1,053,533,513
Additions	36,150,527	—	—	36,150,527	29,435	36,179,962
Balance at end of year	706,920,865	348,560,229	16,394,900	1,071,875,994	17,837,481	1,089,713,475
Accumulated Amortization						
Balance at beginning of year	205,834,152	134,118,230	6,306,572	346,258,954	15,448,237	361,707,191
Amortization	29,047,938	13,942,409	655,796	43,646,143	532,837	44,178,980
Balance at end of year	234,882,090	148,060,639	6,962,368	389,905,097	15,981,074	405,886,171
Net Book Value	US\$472,038,775	US\$200,499,590	US\$9,432,532	US\$681,970,897	US\$1,856,407	US\$683,827,304

In 2024, additions to concession rights mainly pertain to construction of various civil works and acquisitions of port facilities and equipment relating to expansion in MICT and modernization of ICPC; and the present value of fixed fee considerations under the new concession contract for ICPC. In 2023, additions to concession rights mainly pertain to construction of various civil works and acquisitions of port facilities and equipment relating to expansion in MICT.



6. Property and Equipment

This account consists of:

2024								
	Land	Port Facilities and Equipment	Transportation Equipment	Office Equipment, Furniture and Fixtures	Miscellaneous Equipment	Port Equipment Spare Parts	Construction in Progress	Total
Cost								
Balance at beginning of year	US\$–	US\$1,041,611	US\$36,186,399	US\$34,242,915	US\$4,187,078	US\$1,215,687	US\$8,796,782	US\$85,670,472
Additions	43,361,956	303,383	1,862,490	2,685,503	798,240	–	1,198,448	50,210,020
Disposals	–	(180,153)	(12,768,508)	(13,609)	(665)	(23,176)	–	(12,986,111)
Write-off	–	–	–	–	–	(76,665)	–	(76,665)
Balance at end of year	43,361,956	1,164,841	25,280,381	36,914,809	4,984,653	1,115,846	9,995,230	122,817,716
Accumulated Depreciation								
Balance at beginning of year	–	972,871	24,021,785	32,059,109	3,902,269	–	–	60,956,034
Depreciation	–	8,948	2,424,188	1,903,055	319,683	–	–	4,655,874
Disposals	–	(128,929)	(12,754,251)	(9,082)	(665)	–	–	(12,892,927)
Balance at end of year	–	852,890	13,691,722	33,953,082	4,221,287	–	–	52,718,981
Net Book Value	US\$43,361,956	US\$311,951	US\$11,588,659	US\$2,961,727	US\$763,366	US\$1,115,846	US\$9,995,230	US\$70,098,735

2023								
	Land	Port Facilities and Equipment	Transportation Equipment	Office Equipment, Furniture and Fixtures	Miscellaneous Equipment	Port Equipment Spare Parts	Construction in Progress	Total
Cost								
Balance at beginning of year	US\$–	US\$1,008,190	US\$34,771,312	US\$32,339,844	US\$4,077,251	US\$1,235,604	US\$4,924,028	US\$78,356,229
Additions	–	33,421	1,415,087	1,903,071	109,827	–	3,872,754	7,334,160
Disposals	–	–	–	–	–	(19,917)	–	(19,917)
Balance at end of year	–	1,041,611	36,186,399	34,242,915	4,187,078	1,215,687	8,796,782	85,670,472
Accumulated Depreciation								
Balance at beginning of year	–	963,923	20,157,590	29,991,178	3,715,508	–	–	54,828,199
Depreciation	–	8,948	3,864,195	2,067,931	186,761	–	–	6,127,835
Balance at end of year	–	972,871	24,021,785	32,059,109	3,902,269	–	–	60,956,034
Net Book Value	US\$–	US\$68,740	US\$12,164,614	US\$2,183,806	US\$284,809	US\$1,215,687	US\$8,796,782	US\$24,714,438



There were no property and equipment pledged as collateral for its outstanding loans as at December 31, 2024 and 2023.

7. Investment Properties

This account consists of:

2024			
	Land	Building and Others	Total
Cost			
Balance at beginning and end of year	US\$86,962,945	US\$7,846,261	US\$94,809,206
Write-off	–	(404,019)	(404,019)
Balance at end of year	86,962,945	7,442,242	94,405,187
Accumulated Depreciation			
Balance at beginning of year	–	7,442,242	7,442,242
Depreciation during the year	–	–	–
Balance at end of year	–	7,442,242	7,442,242
Net Book Value	US\$86,962,945	US\$–	US\$86,962,945
2023			
	Land	Building and Others	Total
Cost			
Balance at beginning and end of year	US\$86,962,945	US\$7,846,261	US\$94,809,206
Accumulated Depreciation			
Balance at beginning of year	–	7,422,534	7,422,534
Depreciation during the year	–	19,708	19,708
Balance at end of year	–	7,442,242	7,442,242
Net Book Value	US\$86,962,945	US\$404,019	US\$87,366,964

Investment properties mainly include land held for capital appreciation, building and land improvements subject to lease, comprised of:

- Land and building acquired in 2022 amounting to US\$82.6 million, for which management believes that the acquisition value approximates the fair value as at December 31, 2024 since there were no significant improvements made to the said investment properties during the intervening period and no impairment indicators existed as at December 31, 2024.
- The other investment properties with a net book value of US\$4.8 million have a total fair value of US\$21.9 million based on a valuation performed by a qualified independent appraiser whose report was dated December 13, 2024.

Fair values of the investment properties were determined using the sales comparison method. This means that valuations performed by the qualified independent appraiser are based on sales of similar or substitute properties, significantly adjusted for differences in the nature, location or condition of the specific property. This is categorized as *Level 3* in the fair value hierarchy as at December 31, 2024 and 2023.



There were no restrictions on the realizability of the investment properties and no significant repairs and maintenance were made to maintain the Company's investment properties.

On May 28, 2022, the Company leased its investment property (land located in Manila) to MHCPSP for five years.

On March 1, 2015, the Company leases its investment property (land located in Calamba City, Laguna) to IWI CTHI for 25 years. The lease is subject to an annual escalation based on a pre-agreed rate.

Rental income derived from rental-earning investment properties, which is recognized as part of "Other income" account, amounted to US\$2.5 million and US\$2.6 million in 2024 and 2023, respectively (see Notes 17.1 and 21.1).

Future minimum rental receivables under the aforementioned leases as at December 31, 2024 are as follows:

Year	Amount
2025	US\$2,228,562
2026	2,228,562
2027	1,199,605
2028	170,649
2029 and after	1,749,150
	US\$7,576,528

8. Other Noncurrent Assets

This account consists of:

	2024	2023
Advances to suppliers, contractors and others (net of allowance for probable losses of US\$0.7 million)	US\$40,767,404	US\$32,045,727
Derivative assets (Note 25)	2,789,654	—
Financial assets at FVOCI	4,383,639	3,341,775
Right-of-use asset	15,305,683	—
Deferred input VAT	4,434,006	2,346,329
	US\$67,680,386	US\$37,733,831

Advances to Suppliers, Contractors and Others

These advances mainly pertain to advance payments for the purchase of port equipment and construction of port facilities, and advance payment for on-going projects.

Right-of-Use Asset

The Company entered into a lease agreement with ACTSI on December 1, 2024 for the lease of a transportation equipment for 10 years. The lease requires the Company to make an annual payment of US\$1.9 million.



Set-out below is the reconciliation of the Company's right-of-use asset during the year:

	2024
Balance at beginning of year	US\$–
Addition	15,434,302
Amortization	(128,619)
Balance at end of year	US\$15,305,683

Financial Assets at FVOCI

The net movement in unrealized mark-to-market gain on financial assets at FVOCI is as follows:

	2024	2023
Balance at beginning of year	US\$2,493,131	US\$2,104,596
Change in fair value of financial assets at FVOCI	1,041,864	388,535
Balance at end of year (see Note 12.3)	US\$3,534,995	US\$2,493,131

9. Cash and Cash Equivalents

This account consists of:

	2024	2023
Cash on hand and in banks	US\$26,699,421	US\$21,977,715
Cash equivalents	349,603,258	130,470,124
	US\$376,302,679	US\$152,447,839

Cash in banks earn interest at the prevailing bank deposit rates. Cash equivalents are short-term investments, which are made for varying periods of up to three months depending on the immediate cash requirements of the Company and earn interest at the respective short-term investment rates. The carrying value of cash and cash equivalents approximates their fair value as at the balance sheet date.

Interest income derived from interest-earning bank deposits and cash equivalents amounted to US\$17.1 million and US\$3.8 million for the years ended December 31, 2024 and 2023, respectively.

10. Receivables

This account consists of:

	2024	2023
Trade	US\$29,030,936	US\$23,729,749
Nontrade	4,180,467	4,488,511
	33,211,403	28,218,260
Less allowance for doubtful accounts	582,979	585,501
	US\$32,628,424	US\$27,632,759

Trade receivables are noninterest-bearing and are generally on a 30-day credit term.



Details of allowance for doubtful accounts as at December 31 are as follows:

	2024	2023
Trade	US\$225,375	US\$283,014
Nontrade	357,604	302,487
	US\$582,979	US\$585,501

11. Prepaid Expenses and Other Current Assets

This account consists of:

	2024	2023
Tax credits	US\$10,253,703	US\$9,498,481
Prepaid insurance, bonds and other expenses	7,494,223	7,199,538
Input tax	5,853,760	—
Advances to officers and employees	1,012,301	806,665
Advances to contractors and others	6,117,668	1,677,313
	US\$30,731,655	US\$19,181,997

12. Equity

The Company completed its initial public offering at a price of ₱6.70 per common share listed in the PSE on March 23, 1992. As at December 31, 2024 and 2023, the Company has 1,340 and 1,338 shareholders on record, respectively.

12.1 Capital Stock and Treasury Shares

The Company's common shares are listed and traded in the PSE.

The movements in ICTSI's capital stock and treasury shares in 2024 and 2023 are as follows:

	Number of Shares			
	Authorized		Issued and Subscribed	
	2024	2023	2024	2023
Preferred A Shares - nonvoting, non-cumulative, ₱1.00 (US\$0.048) par value	993,000,000	993,000,000	3,800,000	3,800,000
Preferred B Shares - voting, non-cumulative, ₱0.01 (US\$0.002) par value	700,000,000	700,000,000	700,000,000	700,000,000
Common Stock - ₱1.00 (US\$0.048) par value	4,227,397,381	4,227,397,381	2,045,177,671	2,045,177,671



	Number of Shares	
	2024	2023
Treasury Shares		
Balance at beginning of year	13,189,068	14,836,722
Issuance of shares for share-based payments (see Note 16)	(1,823,420)	(1,953,884)
Purchase of shares	6,596,820	306,230
Balance at end of year	17,962,468	13,189,068

	Amount	
	2024	2023
Preferred Stock	US\$236,222	US\$236,222
Common Stock	US\$67,781,529	US\$67,781,529
Subscription Receivable	(451,341)	(451,341)
	US\$67,330,188	US\$67,330,188

	Amount	
	2024	2023
Treasury Shares		
Balance at beginning of year	US\$43,796,649	US\$49,213,822
Issuance of shares for share-based payments (see Note 16)	(6,055,031)	(6,481,377)
Purchase of shares	43,165,837	1,064,204
Balance at end of year	US\$80,907,455	US\$43,796,649

Preferred Shares

The Preferred A shares, which were subscribed by ICTHI, are nonvoting, entitled to dividend at rates to be fixed by the Board, non-cumulative, convertible to common shares under such terms to be provided by the Board, redeemable at such price and terms determined by the Board and have preference over common shares in the distribution of the assets of the Company. The Board has not fixed the dividend rate and terms of conversion of Preferred A shares.

The Preferred B shares were issued to Achillion Holdings, Inc. (Achillion). Preferred B shares have the following features: voting; issued only to Philippine Nationals; not convertible into common shares; earn no dividend and redeemable at the option of the Board.

Achillion is a Philippine corporation owned and controlled by ICTSI's Chairman and President and controlling stockholder, Enrique K. Razon, Jr.

12.2 Retained Earnings

The details of ICTSI's declaration of cash dividends are as follows:

	2024	2023
Date of Board approval	March 1, 2024	March 6, 2023
Cash dividends (regular) per share	US\$0.167 (₱9.35)	US\$0.156 (₱8.56)
Cash dividends (special) per share	US\$0.029 (₱1.65)	US\$0.026 (₱1.44)
Record date	March 15, 2024	March 20, 2023
Payment date	March 25, 2024	March 28, 2023



12.3 Other Comprehensive Loss - Net

The details of other comprehensive net loss (net of tax) as at December 31 are as follows:

	2024	2023
Effect of change in functional currency	(US\$56,159,412)	(US\$56,159,412)
Net unrealized market valuation gain on		
Financial asset at FVOCI (see Note 8)	3,534,995	2,493,131
Unrealized mark-to-market gain (loss) on		
derivatives (see Note 25)	4,769,650	(5,397,744)
Foreign currency translation loss (see Note 25)	(217,378)	—
Actuarial loss on defined benefit plan		
(see Note 22)	(4,079,110)	(3,344,237)
	(US\$52,151,255)	(US\$62,408,262)

13. Long-term Debt

13.1 Outstanding Balances and Maturities

	Maturity	2024	2023
Unsecured fixed interest USD bond ^(a)	2030	US\$394,962,234	US\$394,208,958
Unsecured fixed interest USD term loans ^(b)	2029	744,389,099	297,093,198
Unsecured floating interest USD term loan	2032	99,247,854	—
		US\$1,238,599,187	US\$691,302,156

^(a) The Senior Notes were offered in offshore transactions outside the United States in reliance on Regulation S under the Securities Act and, subject to certain exceptions, may not be offered or sold within the United States. The Senior Notes are traded and listed in the Singapore Stock Exchange.

^(b) See Note 25 for the details on the related hedge accounting applied by the Company in hedging interest rate risk.

13.2 Details and Description

Unsecured fixed interest USD bond. The Senior Notes bear interest of 4.75 percent per annum, payable semi-annually in arrears, maturing on June 17, 2030.

Unsecured fixed interest USD term loan. The US\$750.0 million loan has been drawn down under the six-year term loan facility agreement, with interest rate based on six-month term SOFR plus an agreed margin. The proceeds of the loan were used to refinance the short-term and long-term loans. ICTSI entered into an interest rate swap to hedge the interest rate exposure of this loan (see Note 25.3).

Unsecured floating interest USD term loan. The US\$100.0 million loan has been drawn down under the US\$500.0 million eight-year term loan facility agreement, with interest rate based on six-month term SOFR plus an agreed margin.

Interest expense on long-term debt amounted to US\$72.8 million and US\$33.3 million in 2024 and 2023, respectively. Amortization of debt issuance costs, discount and premium included in the “Interest expense and financing charges on borrowings” account in the parent company statements of income amounted to US\$2.1 million in 2024 and US\$1.7 million in 2023.



13.3 Loan Covenants

The loans are subject to certain restrictions with respect to corporate reorganization, disposition of all or substantial portion of the Company's and its subsidiaries' assets, extending loan to others, except in the course of ordinary business. As at December 31, 2024, the Company is in compliance with the debt covenants on its existing loans.

14. **Loans Payable**

In March and June 2024, ICTSI availed of short-term loans totaling JPY24.5 billion with a tenor of one year. ICTSI entered into cross-currency swaps to hedge the foreign exchange exposure of these loans (see Note 25.3). The facility is secured by short-term investments held by CMSA amounting to MXN2.9 billion (US\$140.7 million) as of December 31, 2024.

Interest expense incurred related to these loans payable amounted to US\$1.9 million in 2024.

15. **Accounts Payable and Other Current Liabilities**

This account consists of:

	2024	2023
Trade	US\$64,228,577	US\$51,622,791
Accrued expenses:		
Interest (see Note 13)	13,157,951	6,047,700
Salaries and benefits	1,094,323	811,949
Operating expenses and others	40,522,962	26,078,517
Customers' deposits	14,882,287	10,211,171
Dividends payable	5,053,946	4,192,013
Provision for claims and losses	4,838,774	6,341,601
Retention payable	3,545,978	4,302,752
Withholding taxes	28,396	136,678
VAT payable	—	117,979
Others	1,317,498	1,176,824
	US\$148,670,692	US\$111,039,975

Trade payables are noninterest-bearing and are generally settled on 30-60 days' term.

Provision for claims and losses pertain mainly to estimated probable losses on cargo, labor-related, and other claims from third parties. The movements in this account are as follows:

	2024	2023
Balance at beginning of year	US\$6,341,601	US\$8,784,990
Provision during the year (Note 19)	1,147,254	4,078,360
Settlement during the year	(2,650,081)	(6,521,749)
Balance at end of year	US\$4,838,774	US\$6,341,601



16. Share-based Payment Plan

Certain officers and employees of the Company and its subsidiaries receive remuneration through share-based payment transactions, whereby officers and employees are given awards, in the form of ICTSI common shares, in lieu of cash incentives and bonuses under the SIP (“equity-settled transactions”). The SIP was approved by the stockholders of the Company on March 7, 2007, effective for a period of 10 years unless extended by the Board. On March 7, 2016, the Board approved the extension of the SIP for a further 10 years until March 2027 and the amendment of vesting period of the SIP. The vesting period of the SIP was amended from two years where 50% is to vest on the first anniversary date of the award and the other 50% to vest on the second anniversary date of the award, to three years where 25% is to vest on the first anniversary date of the award, 25% to vest on the second anniversary date of the award, and 50% to vest on the third anniversary date of the award. Unless the Stock Incentive Committee determines otherwise, when dividends are declared by the Company, the number of shares subject to an award shall be increased by the number equal in value to the dividends the awardee would have received in respect of an award had the shares awarded to the awardee vested at the time of the dividend declaration. This is designated as the Dividend Re-investment Plan (DRIP).

The shares covered by the SIP are held under treasury until they are awarded and issued to the officers and employees as determined by the Stock Incentive Committee. As at December 31, 2024, there were 55,950,099 ICTSI common shares granted in aggregate under the SIP since it became effective in 2007. A portion of ICTSI common shares held under treasury is allotted for the SIP (see Note 12.1).

The grant of shares under the SIP does not require an exercise price to be paid by the awardee. Awardees who resign or are terminated will lose any right to unvested shares. In the event of retirement of an awardee, the unvested shares shall automatically vest in full. In the event of death or total disability of an awardee, the outstanding unvested shares shall vest in full and the shares will be released to the designated heirs of the awardee. A change in control in ICTSI will trigger the automatic vesting of unvested awarded shares. There are no cash settlement alternatives.

The SIP covers permanent and regular employees of ICTSI with at least one year tenure; officers and directors of ICTSI, its subsidiaries or affiliates; or other persons who have contributed to the success and profitability of ICTSI or its subsidiaries or affiliates.

Stock awards, including DRIP shares, granted by the Stock Incentive Committee to officers and employees of ICTSI and its subsidiaries for the past two years are shown below:

Grant Date	Number of Shares Granted	Fair value per Share at Grant Date
March 1, 2023	2,238,750	US\$3.62 (₱198.98)
March 28, 2023	197,522	US\$3.80 (₱207.00)
March 1, 2024	1,978,205	US\$5.06 (₱283.20)
March 25, 2024	153,920	US\$5.62 (₱317.19)



Fair value per share was determined based on the market price of the stock of the Company at the date of grant.

Movements in the stock awards (number of shares) were as follows:

	2024	2023
Balance at beginning of year	4,285,683	4,176,507
Stock awards granted	2,132,125	2,436,272
Stock awards vested, issued and cancelled	(1,823,420)	(2,327,096)
Balance at end of year	4,594,388	4,285,683

Share-based payment expense amounted to US\$3.5 million and US\$3.2 million in 2024 and 2023, respectively. ICTSI recognized additional investment in subsidiaries amounting to US\$5.3 million in 2024 and US\$3.7 million in 2023, for the value of the shares awarded to the officers and directors of the Company's subsidiaries (see Note 4).

17. Income and Expenses

17.1 Other Income

This account consists of:

	2024	2023
Royalty fees (Note 21.1)	US\$51,956,603	US\$36,776,685
Unrealized mark-to-market gain on derivatives (Note 25.3)	15,045,380	—
Management fees (Note 21.1)	12,238,285	11,742,437
HQ-managed IT income (Note 21.1)	9,096,244	10,187,691
Professional fees (Note 21.1)	3,971,905	3,247,771
Rental income (Notes 7 and 21.1)	2,536,842	2,596,331
Gain on sale of fixed assets	2,503,055	6,363
Others	4,514,973	4,843,845
	US\$101,863,287	US\$69,401,123

17.2 PPA's Share in Gross Revenues

This account consists of variable fees paid to the PPA as stipulated in the contracts with the PPA (see Note 23), excluding variable fees considered as "in-substance fixed payments" that formed part of the capitalized concession rights (see Note 5).



17.3 Other Expenses

	2024	2023
Unrealized mark-to-market loss on derivatives (Note 25.3)	US\$–	US\$55,434,360
COVID-19 expenses	–	205,891
Others	3,989,024	5,540,536
	US\$3,989,024	US\$61,180,787

18. Equipment and Facilities-related Expenses

This account consists of:

	2024	2023
Repairs and maintenance	US\$8,455,547	US\$6,043,849
Fuel, oil and lubricants	6,822,252	7,660,753
Power, light and water	6,123,701	3,820,889
Rent	627,939	587,824
Others	703,326	891,018
	US\$22,732,765	US\$19,004,333

19. Administrative and Other Operating Expenses

This account consists of:

	2024	2023
Professional and other fees	US\$27,586,202	US\$21,194,915
Technology and systems development	13,015,407	12,741,728
Sponsorship, donations and contribution	10,872,291	10,371,136
Taxes and licenses	9,836,864	6,558,754
Management fees (Note 21.1)	8,346,757	5,007,201
Insurance and bonds	4,570,209	3,778,200
Advertising, dues and subscriptions	3,271,291	3,118,464
Transportation and travel	3,138,235	2,649,589
Security and janitorial	1,870,812	1,467,397
General office	1,549,024	1,025,559
Claims and losses (Note 15)	1,147,254	4,078,360
Representation and entertainment	770,131	649,994
Postage, telephone and telegraph	312,257	296,515
Office supplies and others	95,516	70,580
	US\$86,382,250	US\$73,008,392



20. Income Tax

The deferred tax assets and liabilities are presented in the parent company balance sheets as follows:

	2024	2023
Deferred tax assets:		
Unrealized foreign exchange loss	US\$94,463,998	US\$84,448,566
Concession rights payable related to fixed fees and storage fees	13,535,505	11,378,861
Provision for bonuses and compensated absences	6,109,185	4,730,951
Accrued retirement cost	2,153,182	1,986,510
Share-based payments	1,960,603	1,254,659
Inventory obsolescence	485,432	507,131
Provision for claims and losses	384,155	626,700
Allowance for doubtful accounts and probable losses	267,485	279,442
Derivatives	—	7,278,298
	119,359,545	112,491,118
Deferred tax liabilities:		
Difference in depreciable lives used on port infrastructure and equipment for tax and accounting	32,859,016	24,950,536
Derivatives	6,707,320	—
Capitalized borrowing costs	2,000,530	2,245,726
Retirement liability acquired from related party	291,814	276,074
Others	11,962,851	8,659,554
	53,821,531	36,131,890
Deferred tax assets - net	US\$65,538,014	US\$76,359,228

A reconciliation of income tax expense on income before income tax at statutory tax rate to income tax expense recognized in the parent company statements of income follows:

	2024	2023
Income tax expense computed at statutory tax rate	US\$145,437,302	US\$75,899,002
Add (deduct) tax effects of:		
Dividend income exempt from income tax	(89,413,620)	(43,126,425)
Difference in functional and tax reporting currency	(15,150,372)	(8,481,721)
Interest income already subjected to final tax	(4,217,461)	(957,301)
Unallowable interest expense	1,000,589	230,878
Nondeductible expenses	1,182,355	1,428,851
Income tax refund	—	5,331,646
	US\$38,838,793	US\$30,324,930

The Company was granted a tax refund of ₦291.8 million (US\$5.3 million) in April 2023 and can be deducted from income tax due until April 2028. A total amount of ₦110.0 million (US\$2.0 million) and ₦73.9 million (US\$1.3 million) was deducted from income tax liability during the years 2023 and 2024, respectively.



On December 23, 2020, the Board of Investments (BOI) approved the registration of ICTSI's construction of Berth 8 of the MICT as "Expanding Operator of Seaport" on a Non-Pioneer status under the Omnibus Investment Code of 1987. Berth 8 is entitled to an income tax holiday of three years from July 2027 or actual start of commercial operations, whichever comes first. The construction of Berth 8 is being done in two phases: expansion of the yard (Phase 1) and construction of a new berth and yard (Phase 2). Development of Berth 8 commenced in the last quarter of 2022. Phase 1 is expected to be completed in the last quarter of 2025 while Phase 2 is expected to be completed in 2027.

On December 27, 2024, the BOI approved the registration of ICTSI as Domestic Market Enterprise engaged in Modernization of ICPC, pursuant to Title XIII of the National Internal Revenue Code of 1997, as amended by Republic Act. No. 11534, or the Corporate Recovery and Tax Incentives for Enterprises (CREATE) Act. ICPC shall start its commercial operations in January 2025 or within three years from the date of registration. ICPC is entitled to an income tax holiday for three years starting January 1, 2025, enhanced deduction for five years starting January 1, 2028, and duty exemption for twelve years starting December 27, 2024.



21. Related Party Transactions

21.1 Transactions with Subsidiaries and Joint Venture

	2024			2023				
Entity	Outstanding Receivable (Payable) ⁽ⁱ⁾			Outstanding Receivable (Payable) ⁽ⁱ⁾			Terms	Conditions
	Amount	Current	Noncurrent	Amount	Current	Noncurrent		
Subsidiaries								
AHI								
Extension of advances	US\$2,044	US\$–	US\$1,219,239	US\$124	US\$–	US\$1,872,214	Non-interest bearing	Unsecured, no impairment
AGCT								
Extension of advances	3,959	–	361,979	–	–	(4,639)	Non-interest bearing	Unsecured, no impairment
Availment of advances	33,647	–	(376,023)	27,746	–	(358,415)	Non-interest bearing	Unsecured
HQ managed IT income	281,802	–	90,993	252,096	–	18,326	Non-interest bearing	Unsecured, no impairment
Professional fee expense	43,652	–	(44,650)	–	–	–	Non-interest bearing	Unsecured
Other Income	87,109	–	87,109	–	–	–	Non-interest bearing	Unsecured, no impairment
AGT								
Extension of advances	–	–	683	–	–	683	Non-interest bearing	Unsecured, no impairment
APBS								
Rent income	–	–	43,470	–	–	43,470	Non-interest bearing	Unsecured, no impairment
Acquired obligation	–	–	63,831	–	–	63,831	Non-interest bearing	Unsecured, no impairment
Extension of advances	–	–	205,416	–	–	239,014	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	(1,323)	–	–	(1,376)	Non-interest bearing	Unsecured
BCT								
Extension of advances	5,374	–	1,842	4,959	–	(3)	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	(35,344)	–	–	(35,344)	Non-interest bearing	Unsecured
HQ managed IT income	144,561	–	71,882	107,550	–	1,450	Non-interest bearing	Unsecured, no impairment
Professional fees income	16,748	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
Other Income	297,497	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
BGT								
Extension of advances	5,075	–	(6,285)	19,907	–	(4,322)	Non-interest bearing	Unsecured
HQ managed IT income	330,947	–	1,212	377,476	–	145,462	Non-interest bearing	Unsecured, no impairment
Professional fees income	149,110	–	41,243	48,351	–	(87,627)	Non-interest bearing	Unsecured, no impairment
Other Income	31,491	–	31,491	–	–	–	Non-interest bearing	Unsecured, no impairment
BICT								
Extension of advances	6,653	–	11,142	3,132	–	12,251	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	397	(472)	–	397	Non-interest bearing	Unsecured, no impairment
Royalty income	359,644	–	22,779	440,187	–	18,160	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	132,059	–	19,891	149,804	–	13,217	Non-interest bearing	Unsecured, no impairment
BIPI								
Extension of advances	18,361	–	9,834	5,198	–	11,151	Non-interest bearing	Unsecured, no impairment
Management fees income	660,068	–	57,649	564,679	–	39,786	Non-interest bearing	Unsecured, no impairment
Professional fees income	116,630	–	12,390	109,670	–	9,462	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	20,625	–	(10,450)	10,856	–	(9,046)	Non-interest bearing	Unsecured
CGSA								
Extension of advances	4,666	–	(665,609)	192	–	(670,250)	Non-interest bearing	Unsecured

(Forward)



Entity	2024			2023			Terms	Conditions
	Amount	Outstanding Receivable (Payable) ⁽⁹⁾		Amount	Outstanding Receivable (Payable) ⁽⁹⁾			
		Current	Noncurrent		Current	Noncurrent		
CGSA								
Availment of advances	US\$–	US\$–	(US\$17,190)	(US\$17,190)	US\$–	(US\$17,190)	Non-interest bearing	Unsecured
HQ managed IT income	489,995	–	613,640	1,048,762	–	270,965	Non-interest bearing	Unsecured, no impairment
Dividend income	–	–	1,805,810	33,546,671	–	1,805,810	Non-interest bearing	Unsecured, no impairment
Management fees income	–	–	12,497	–	–	12,497	Non-interest bearing	Unsecured, no impairment
Return of investment	12,325,000	–	12,325,000	–	–	–	Non-interest bearing	Unsecured, no impairment
CGSA B.V.								
Management fees income	4,065	–	3,727	4,065	–	339	Non-interest bearing	Unsecured, no impairment
CGSA Transportadora S.L								
Management fee expense (see Note 19)	86,614	–	–	–	–	–		
CGT								
Extension of advances	37,893	–	642,951	502,791	–	609,014	Non-interest bearing	Unsecured, no impairment
Professional fees income	–	–	61,574	–	–	61,574	Non-interest bearing	Unsecured, no impairment
Acquired obligation	–	–	826	–	–	826	Non-interest bearing	Unsecured, no impairment
Transferred obligation	–	–	(697)	–	–	(697)	Non-interest bearing	Unsecured
HQ managed IT income	632	–	(15,586)	1,401	–	(16,281)	Non-interest bearing	Unsecured
Other income	2,855	–	10,010	930	–	7,155	Non-interest bearing	Unsecured, no impairment
CLI								
Extension of advances	1,934	–	857,515	883,338	–	906,904	Non-interest bearing	Unsecured, no impairment
Management fees income	498,847	–	462,272	451,050	–	416,522	Non-interest bearing	Unsecured, no impairment
Professional fees income	150,694	–	156,635	105,103	–	111,852	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	2,364	–	(545)	–	–	–	Non-interest bearing	Unsecured
Rent income	3,427	–	4,402	–	–	–	Non-interest bearing	Unsecured, no impairment
CMSA								
Extension of advances	53,059	–	82,091	–	–	(21,313)	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	1,273,884	–	1,789,561	1,072,825	–	1,156,003	Non-interest bearing	Unsecured, no impairment
Royalty income	27,995,011	–	2,700,878	18,723,453	–	1,389,737	Non-interest bearing	Unsecured, no impairment
Dividend income	13,790	–	–	6,517	–	–	Non-interest bearing	Unsecured, no impairment
Other Income	19,521	–	42,408	–	–	–	Non-interest bearing	Unsecured, no impairment
CMSA B.V.								
Management fees income	2,033	–	1,016	2,033	–	169	Non-interest bearing	Unsecured, no impairment
CPHI								
Dividend income	320,518	–	222,837	204,514	–	223,486	Non-interest bearing	Unsecured, no impairment
Extension of advances	501	–	27,513	389	–	25,572	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	(282,856)	–	–	(282,856)	Non-interest bearing	Unsecured
CTSSPI								
Extension of advances	–	–	(53)	7	–	(55)	Non-interest bearing	Unsecured
DIPSSCOR								
Extension of advances	23,621	–	(1,454,753)	1,483	–	(5,595)	Non-interest bearing	Unsecured
Management fees income	–	–	1,128	–	–	1,128	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	–	–	4,623	–	–	4,623	Non-interest bearing	Unsecured, no impairment
Rent income	1,050	–	1,050	–	–	–	Non-interest bearing	Unsecured, no impairment
EJD								
Extension of advances	21,757	–	11,862	13,782	–	15,558	Non-interest bearing	Unsecured, no impairment
Royalty income	720,000	–	196,182	720,000	–	184,254	Non-interest bearing	Unsecured, no impairment

(Forward)



Entity	2024			2023			Terms	Conditions
	Amount	Outstanding Receivable (Payable) ⁽⁹⁾		Amount	Outstanding Receivable (Payable) ⁽⁹⁾			
		Current	Noncurrent		Current	Noncurrent		
EJD								
Acquisition of Investments	US\$5,709,500	US\$–	US\$–	US\$34,520,000	US\$–	US\$–	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	17,051	–	16,401	1,691	–	2,227	Non-interest bearing	Unsecured, no impairment
Other income	21,510	–	21,510	22,705	–	9,560	Non-interest bearing	Unsecured, no impairment
Professional fees income	55,726	–	75,290	–	–	10,755	Non-interest bearing	Unsecured, no impairment
HIPS								
Extension of advances	–	–	–	–	–	5,449	Non-interest bearing	Unsecured, no impairment
Management fees income	–	–	–	–	–	(6,330)	Non-interest bearing	Unsecured, no impairment
Purchase of equipment	–	–	1	–	–	16,201	Non-interest bearing	Unsecured, no impairment
IABV								
Extension of advances	–	–	(14,539)	69	–	(14,916)	Non-interest bearing	Unsecured
Management fees income	12,196	–	19,993	12,196	–	14,912	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	960	–	125	782	–	(1)	Non-interest bearing	Unsecured, no impairment
ICBV								
Extension of advances	18,210	–	17,650	538	–	175	Non-interest bearing	Unsecured, no impairment
Management fees income	2,033	–	1,016	2,033	–	169	Non-interest bearing	Unsecured, no impairment
ICTSI Cooperatief U.A.								
Extension of advances	–	–	(169)	–	–	(169)	Non-interest bearing	Unsecured
Management fees income	–	–	169	–	–	169	Non-interest bearing	Unsecured, no impairment
ICTHI								
Extension of advances	4,000	–	4,000	–	–	(16,978)	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	–	–	–	(30,059,086)	Non-interest bearing	Unsecured, no impairment
Loan availment	–	–	–	–	–	(33,950,470)	Non-interest bearing	Unsecured, no impairment
Acquisition of investment	–	–	–	114,177	–	–	Non-interest bearing	Unsecured, no impairment
Return of investment	–	–	–	(60,201,112)	–	–	Non-interest bearing	Unsecured, no impairment
ICTSI Africa (Pty) Ltd.								
Extension of advances	–	–	23,123	–	–	23,677	Non-interest bearing	Unsecured, no impairment
ICTSI Africa B.V.								
Management fees income	4,065	–	678	4,065	–	339	Non-interest bearing	Unsecured, no impairment
ICTSI Africa Headquarters (Pty) Ltd.								
Extension of Advances	244	–	11,284	3,410	–	11,345	Non-interest bearing	Unsecured, no impairment
IDRC								
Extension of advances	18,994	–	33,266	1,442	–	18,435	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	(1,541,588)	–	–	(1,541,588)	Non-interest bearing	Unsecured
HQ managed IT income	288,051	–	541,970	346,620	–	446,186	Non-interest bearing	Unsecured, no impairment
Royalty income	2,400,000	–	1,423,855	2,400,000	–	1,490,105	Non-interest bearing	Unsecured, no impairment
Other Income	31,884	–	27,420	–	–	–	Non-interest bearing	Unsecured, no impairment
ICTSI Global Holdings B.V.								
Interest income	–	–	5,000	–	–	5,000	Non-interest bearing	Unsecured, no impairment
Extension of advances	248	–	(4,584)	6,008	–	(4,831)	Non-interest bearing	Unsecured
Management fees income	2,033	–	847	2,033	–	–	Non-interest bearing	Unsecured, no impairment
Dividend income	200,000,000	–	200,000,000	10,000,000	–	–	Non-interest bearing	Unsecured, no impairment
ICTSI Hong Kong Ltd.								
Extension of advances	19	–	87	61	–	172	Non-interest bearing	Unsecured, no impairment
ICTSI MAURITIUS LTD								
Extension of advances	84,786	–	84,664	81	–	–	Non-interest bearing	Unsecured, no impairment

(Forward)



Entity	2024			2023			Terms	Conditions
	Outstanding Receivable (Payable) ⁽⁹⁾			Outstanding Receivable (Payable) ⁽⁹⁾				
	Amount	Current	Noncurrent	Amount	Current	Noncurrent		
ICTSI Middle East DMCC								
Extension of advances	US\$18,725	US\$–	US\$195,035	US\$120,716	US\$–	US\$369,723	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	1,533	–	7,550	2,266	–	6,017	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	(11,372)	(16,390)	–	(27,762)	Non-interest bearing	Unsecured
Dividend income	80,000,000	–	1,000,000	73,000,000	–	–	Non-interest bearing	Unsecured, no impairment
Professional fees income	65,670	–	65,670	–	–	–	Non-interest bearing	Unsecured, no impairment
Management fee expense (see Note 19)	569,365	–	(384,526)	–	–	–	Non-interest bearing	Unsecured
ISPL								
Extension of advances	14,318	–	10,633	2,545	–	(3,607)	Non-interest bearing	Unsecured, no impairment
Professional fees income	110,894	–	(12,290)	119,601	–	57,463	Non-interest bearing	Unsecured
HQ managed IT income	5,155	–	(22,116)	5,457	–	(24,355)	Non-interest bearing	Unsecured
ICTSI Ltd.								
Extension of advances	2,072	–	409,310	54,688	–	342,181	Non-interest bearing	Unsecured, no impairment
Availment of advances	89,750	–	9,320,047	(100,946)	–	(9,388,597)	Non-interest bearing	Unsecured
Share-based payments	5,275,048	–	–	3,660,241	–	–	Non-interest bearing	Unsecured, no impairment
Acquisition of Investments	–	–	(5,570,249)	–	–	(5,570,249)	Non-interest bearing	Unsecured
Professional fee expense	344,500	–	(4,487,377)	–	–	–	Non-interest bearing	Unsecured
Assignment of Receivables	141,611	–	141,611	–	–	–	Non-interest bearing	Unsecured, no impairment
Derivatives	23,117,732	–	(23,117,732)	–	–	–	Non-interest bearing	Unsecured, no impairment
ICTSI Ltd. Regional Headquarters								
Extension of advances	20	–	313,463	90	–	327,471	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	56	–	–	(10)	Non-interest bearing	Unsecured, no impairment
ICTSI Subic								
Extension of Advances	1,241	–	230,876	2,548	–	230,646	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	(2,709,703)	–	–	(2,705,503)	Non-interest bearing	Unsecured
Professional fees income	187,547	–	76,485	1,020,636	–	159,481	Non-interest bearing	Unsecured, no impairment
Dividend income	–	–	–	131,250	–	19,919	Non-interest bearing	Unsecured, no impairment
Management fees income	996,358	–	123,262	–	–	–	Non-interest bearing	Unsecured, no impairment
ICTSI Sudan								
Extension of advances	–	–	118,211	–	–	118,964	Non-interest bearing	Unsecured, no impairment
IFEL								
Extension of advances	1,391	–	36	–	–	59	Non-interest bearing	Unsecured, no impairment
ITBV								
Availment of advances	–	–	(754,152,358)	(210,000,000)	–	(863,080,735)	Interest bearing	Unsecured
Interest expense	51,087,410	(10,078,295)	(39,224,272)	(55,959,632)	(10,746,833)	(36,730,548)	Non-interest bearing	Unsecured
Extension of advances	–	–	(4,095)	(4,095)	–	(4,095)	Non-interest bearing	Unsecured
HQ managed IT income	87	–	(4,449)	273	–	(4,536)	Non-interest bearing	Unsecured
Management fees income	2,033	–	3,218	2,033	–	2,371	Non-interest bearing	Unsecured, no impairment
IGFBV								
Interest expense	6,393,074	(1,065,512)	(1,376,287)	6,393,074	(1,065,512)	(1,376,287)	10 to 12 years, interest payable every March and September or January and July at 4.74% to 5.98%.	Unsecured
Availment of advances	–	–	(143,931,111)	–	–	(143,889,319)	Non-interest bearing	Unsecured
Management fees income	2,033	–	3,218	2,033	–	2,371	Non-interest bearing	Unsecured, no impairment

(Forward)



Entity	2024			2023			Terms	Conditions
	Amount	Outstanding Receivable (Payable) ⁽⁹⁾		Amount	Outstanding Receivable (Payable) ⁽⁹⁾			
		Current	Noncurrent		Current	Noncurrent		
IOBV								
Management fees income	US\$2,033	US\$–	US\$1,016	US\$2,033	US\$–	US\$169	Non-interest bearing	Unsecured, no impairment
ICTSI Rio Brasil								
HQ managed IT income	751,973	–	(506,967)	446,835	–	(234,528)	Non-interest bearing	Unsecured
Management fees income	–	–	98,347	–	–	98,347	Non-interest bearing	Unsecured, no impairment
Royalty Income	6,703,041	–	1,792,922	4,248,947	–	935,332	Non-interest bearing	Unsecured, no impairment
Other Income	24,918	–	24,918	–	–	–	Non-interest bearing	Unsecured, no impairment
ICTSI South Asia Pte. Ltd.								
Extension of advances	–	–	–	8	–	–	Non-interest bearing	Unsecured, no impairment
ITH								
Extension of advances	2,416	–	5,798	505	–	3,508	Non-interest bearing	Unsecured, no impairment
IPDS								
Extension of Advances	–	–	–	842	–	1,071	Non-interest bearing	Unsecured, no impairment
IW Cargo								
Extension of advances	660	–	940,543	20,411	–	939,911	Non-interest bearing	Unsecured, no impairment
Availment of advances	118	–	(864,182)	(30,160)	–	(859,794)	Non-interest bearing	Unsecured
Rent expense	112,635	–	(168,517)	113,474	–	(57,637)	Non-interest bearing	Unsecured
Rent income	762	–	(111,392)	783	–	(112,230)	Non-interest bearing	Unsecured
IWICTHI								
Dividend income	12,773,350	–	–	10,411,721	–	–	Non-interest bearing	Unsecured, no impairment
Rent income	396,794	–	1,043,781	410,311	–	989,417	Non-interest bearing	Unsecured, no impairment
Extension of advances	25,235	–	84,872	5,714	–	113,603	Non-interest bearing	Unsecured, no impairment
Acquisition of shares of stock	–	–	–	6,116,276	–	–	Non-interest bearing	Unsecured, no impairment
Rent expense	1,091	–	(1,091)	–	–	–	Non-interest bearing	Unsecured
Return of investment	14,989,251	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
IRB LOGÍSTICA LTDA								
HQ managed IT income	39,329	–	20,311	29,205	–	21,659	Non-interest bearing	Unsecured, no impairment
KMT								
Extension of advances	–	–	107,842	–	–	108,612	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	95,936	–	413,912	59,012	–	317,976	Non-interest bearing	Unsecured, no impairment
LGICT								
Underguarantee service	221,883	–	30,713	316,269	–	17,701	Non-interest bearing	Unsecured, no impairment
Availment of advances	–	–	(35,751)	–	–	(35,751)	Non-interest bearing	Unsecured
Extension of advances	53	–	(6,804)	787	–	(3,214)	Non-interest bearing	Unsecured
Cost of Services - Arrastre, Storage Expense	–	–	1,425	–	–	1,425	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	43,256	–	31,922	59,129	–	52,499	Non-interest bearing	Unsecured, no impairment
Professional fees income	51,697	–	65,994	53,081	–	53,304	Non-interest bearing	Unsecured, no impairment
Rent expense	336	–	336	–	–	–	Non-interest bearing	Unsecured, no impairment
Other Income	389	–	2,079	–	–	–	Non-interest bearing	Unsecured, no impairment
LOGIPUERTO								
HQ managed IT income	15	–	(349)	–	–	–	Non-interest bearing	Unsecured
MHCPSI								
Availment of advances	8,703	–	(97,638)	(14,473)	–	(113,222)	Non-interest bearing	Unsecured
Extension of advances	73,357	–	(66,031)	11,033	–	(69,179)	Non-interest bearing	Unsecured
HQ managed IT income	153,222	–	8,430	172,056	–	(41,632)	Non-interest bearing	Unsecured, no impairment
Professional fees income	239,359	–	(161,336)	343,030	–	(195,457)	Non-interest bearing	Unsecured

(Forward)



Entity	2024			2023			Terms	Conditions
	Outstanding Receivable (Payable) ⁽⁹⁾			Outstanding Receivable (Payable) ⁽⁹⁾				
	Amount	Current	Noncurrent	Amount	Current	Noncurrent		
MHCPSI								
Dividend income	US\$2,542,500	US\$–	US\$–	US\$–	US\$–	US\$–	Non-interest bearing	Unsecured, no impairment
Deposit For Future Subscription	68,400,000	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
Rent income	2,081,315	–	22,732	2,139,942	–	19,002	Non-interest bearing	Unsecured, no impairment
Underguarantee service	–	–	1,486	–	–	1,486	Non-interest bearing	Unsecured, no impairment
MICTSI								
Extension of advances	21,013	–	357,768	1,033	–	371,126	Non-interest bearing	Unsecured, no impairment
Management fees income	919,704	–	159,571	841,232	–	106,899	Non-interest bearing	Unsecured, no impairment
Professional fees income	291,928	–	123,219	296,511	–	85,195	Non-interest bearing	Unsecured, no impairment
Dividend income	5,754,750	–	–	2,745,550	–	270,900	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	253,238	–	(121,090)	408,553	–	(8,828)	Non-interest bearing	Unsecured
Rent income	–	–	2,894	–	–	2,894	Non-interest bearing	Unsecured, no impairment
Other Income	7,459	–	25,947	–	–	–	Non-interest bearing	Unsecured, no impairment
MICTSL								
Extension of advances	16,711	–	(527,430)	2,779	–	(536,801)	Non-interest bearing	Unsecured
Management fees income	3,786,447	–	96,706	3,260,779	–	193,024	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	360,136	–	853,654	226,671	–	563,898	Non-interest bearing	Unsecured, no impairment
Availment of advances	1,099	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
Professional fees income	–	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
MITL								
Extension of advances	1,231	–	41,072	3,807	–	40,075	Non-interest bearing	Unsecured, no impairment
Management fees income	834,456	–	69,078	883,592	–	379,547	Non-interest bearing	Unsecured, no impairment
Professional fees income	202,192	–	337,984	183,360	–	152,048	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	141,563	–	35,940	217,628	–	176,034	Non-interest bearing	Unsecured, no impairment
Other Income	3	–	3	–	–	–	Non-interest bearing	Unsecured, no impairment
MTS								
Extension of advances	99,654	–	–	–	–	18,266	Non-interest bearing	Unsecured
Royalty income	–	–	–	2,244	–	36,220	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	–	–	–	(1,545)	–	13,487	Non-interest bearing	Unsecured, no impairment
OJA								
Extension of advances	–	–	123,461	206	–	120,284	Non-interest bearing	Unsecured, no impairment
Royalty income	18,373	–	(41,866)	135,251	–	(64,143)	Non-interest bearing	Unsecured
HQ managed IT income	11,338	–	87,662	35,569	–	72,576	Non-interest bearing	Unsecured, no impairment
Professional fees income	2,092	–	13,598	12,552	–	11,297	Non-interest bearing	Unsecured, no impairment
Assignment of Receivables	182,854	–	(182,854)	–	–	–	Non-interest bearing	Unsecured
OMT								
Extension of advances	47,021	–	26,291	27,648	–	12,025	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	230,842	–	(13,709)	228,861	–	(40,661)	Non-interest bearing	Unsecured
Other Income	14,914	–	34,651	57,018	–	19,737	Non-interest bearing	Unsecured, no impairment
Professional fees income	23,420	–	(2,461)	–	–	(17,544)	Non-interest bearing	Unsecured
OPC								
Extension of advances	6,460	–	14,870	–	–	8,791	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	602,602	–	593,248	629,861	–	45,014	Non-interest bearing	Unsecured, no impairment
Dividend income	15,000,000	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
Professional fee expense	1,788	–	(213,807)	–	–	–	Non-interest bearing	Unsecured

(Forward)



Entity	2024			2023			Terms	Conditions
	Outstanding Receivable (Payable) ⁽⁹⁾			Outstanding Receivable (Payable) ⁽⁹⁾				
	Amount	Current	Noncurrent	Amount	Current	Noncurrent		
PICT								
Extension of advances	US\$ –	US\$–	US\$543,024	US\$206	US\$–	US\$545,985	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	–	–	704,660	312,636	–	704,660	Non-interest bearing	Unsecured, no impairment
IJP								
Extension of advances	25	–	358	80	–	308	Non-interest bearing	Unsecured, no impairment
Assignment of Receivables	358	–	(358)	–	–	–	Non-interest bearing	Unsecured
PSSBI								
Extension of advances	–	–	522	–	–	545	Non-interest bearing	Unsecured, no impairment
RCBV⁽¹⁰⁾								
Interest expense	24,292,747	(2,963,079)	(23,621,471)	32,689,040	(3,338,354)	(19,747,960)	Payable in April and May of the following year 9 to 10 years, interest payable every April and October or May and November at 5.62% to 8.49%	Unsecured
ROH								
Availment of advances	–	–	(284,684,496)	–	–	(349,867,346)	Interest bearing	Unsecured
Management fees income	2,033	–	2,541	2,033	–	1,694	Non-interest bearing	Unsecured, no impairment
Extension of advances	–	–	(352,266)	–	–	(352,266)	Non-interest bearing	Unsecured
ROHQ								
Extension of advances	53,420	–	(269,359)	45,315	–	(108,029)	Non-interest bearing	Unsecured
Availment of advances	18,611	–	(7,208,710)	(8,467)	–	(11,088,460)	Non-interest bearing	Unsecured
Acquired obligation	–	–	3,157,403	–	–	3,157,403	Non-interest bearing	Unsecured, no impairment
Management fee expense (see Note 19)	6,739,657	–	(9,022,543)	5,007,201	–	(4,856,985)	Non-interest bearing	Unsecured
Professional fee expense	711,071	–	(1,598,582)	400,872	–	(916,344)	Non-interest bearing	Unsecured
Rent income	7,029	–	208,456	7,243	–	196,346	Non-interest bearing	Unsecured, no impairment
SBI								
Extension of advances	2,730	–	2,063,533	2,345,978	–	2,277,963	Non-interest bearing	Unsecured, no impairment
Underguarantee service	51,216	–	43,968	110,805	–	95,184	Non-interest bearing	Unsecured, no impairment
Brokerage fees	500,384	–	9,311	3,496	–	(55,512)	Non-interest bearing	Unsecured, no impairment
Management fees income	300,356	–	420,967	377,563	–	365,903	Non-interest bearing	Unsecured, no impairment
Other income	–	–	–	51,154	–	58,029	Non-interest bearing	Unsecured, no impairment
Professional fees income	170,238	–	164,819	182,821	–	176,856	Non-interest bearing	Unsecured, no impairment
Availment of advances	30,803	–	7,195	(4,219)	–	670	Non-interest bearing	Unsecured, no impairment
Rent income	3,427	–	2,708	–	–	–	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	3,758	–	3,064	–	–	–	Non-interest bearing	Unsecured, no impairment
SBITC								
Extension of advances	10,797	–	(2,524,977)	8,979	–	(2,485,301)	Non-interest bearing	Unsecured
Availment of advances	325	–	47,633	–	–	45,139	Non-interest bearing	Unsecured, no impairment
Management fees income	1,120,616	–	(358,380)	1,231,937	–	(279,293)	Non-interest bearing	Unsecured
HQ managed IT income	336,328	–	660,728	393,254	–	545,932	Non-interest bearing	Unsecured, no impairment
Professional fees income	352,315	–	(133,721)	219,506	–	(150,578)	Non-interest bearing	Unsecured
Rent income	6,831	–	5,458	–	–	(1,025)	Non-interest bearing	Unsecured, no impairment
Other Income	12,181	–	28,873	6,199	–	11,338	Non-interest bearing	Unsecured, no impairment
SBITHI								
Extension of advances	–	–	(1,098)	–	–	(1,097)	Non-interest bearing	Unsecured

(Forward)



Entity	2024			2023			Terms	Conditions
	Outstanding Receivable (Payable) ^(b)			Outstanding Receivable (Payable) ^(b)				
	Amount	Current	Noncurrent	Amount	Current	Noncurrent		
SBITHI								
Availment of advances	US\$–	US\$–	(US\$10,362,904)	US\$–	US\$–	US\$(10,362,904)	Non-interest bearing	Unsecured
Dividend income	16,018,500	–	14,436,510	17,285,500	–	13,712,510	Non-interest bearing	Unsecured, no impairment
SCIPSI								
Dividend income	816,828	–	–	509,828	–	–	Non-interest bearing	Unsecured, no impairment
Extension of advances	25	–	(5,282)	73	–	(5,518)	Non-interest bearing	Unsecured
Management fees income	200,590	–	33,628	200,479	–	30,505	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	10,670	–	(9,671)	9,216	–	(13,144)	Non-interest bearing	Unsecured
SPIA Colombia B.V.,								
Management fees income	4,065	–	1,694	4,065	–	339	Non-interest bearing	Unsecured, no impairment
SPIA Spain SL USD								
Extension of advances	69	–	142	57	–	75	Non-interest bearing	Unsecured, no impairment
SPIA Spain SL								
Extension of advances	–	–	2	–	–	2	Non-interest bearing	Unsecured, no impairment
SPICTL								
Extension of advances	5,205	–	46,618	14,362	–	45,629	Non-interest bearing	Unsecured, no impairment
Management fees income	1,750,021	–	177,744	1,713,433	–	893,481	Non-interest bearing	Unsecured, no impairment
Professional fees income	208,422	–	27,940	198,490	–	158,881	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	244,420	–	11,391	341,422	–	30,679	Non-interest bearing	Unsecured, no impairment
Other income	–	–	–	15,300	–	–	Non-interest bearing	Unsecured, no impairment
Tecplata								
Extension of advances	12,933	–	523,713	70	–	514,554	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	16,092	–	389,870	182,759	–	373,778	Non-interest bearing	Unsecured, no impairment
Professional fees income	–	–	3,080	–	–	3,080	Non-interest bearing	Unsecured, no impairment
Other Income	23,852	–	23,852	–	–	–	Non-interest bearing	Unsecured, no impairment
TSSA								
Availment of advances	–	–	(161,464)	(3,698)	–	(58,641)	Non-interest bearing	Unsecured
Extension of advances	560	–	(579,537)	12	–	(572,352)	Non-interest bearing	Unsecured
HQ managed IT income	954,722	–	(138,204)	449,739	–	(215,705)	Non-interest bearing	Unsecured
Dividend income	6,509,357	–	197,306	3,409,575	–	–	Non-interest bearing	Unsecured
Royalty income	6,534,941	–	1,153,542	5,229,734	–	1,021,314	Non-interest bearing	Unsecured, no impairment
Interest on equity	–	–	31,466	1,731,193	–	31,466	Non-interest bearing	Unsecured, no impairment
VICT								
Extension of advances	14,091	–	46,444	18,371	–	41,784	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	852,827	–	437,253	830,488	–	197,792	Non-interest bearing	Unsecured, no impairment
Purchase of equipment	–	–	(232,140)	–	–	(232,140)	Non-interest bearing	Unsecured
Professional fees income	627,818	–	26,690	504,703	–	29,087	Non-interest bearing	Unsecured
Royalty income	7,225,593	–	301,367	4,876,869	–	39,900	Non-interest bearing	Unsecured, no impairment
Availment of advances	1,610	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
Other Income	4,920	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
VCT								
Acquisition of Investments	5,342,800	–	–	–	–	–	Non-interest bearing	Unsecured, no impairment
Extension of advances	225,750	–	224,161	–	–	–	Non-interest bearing	Unsecured, no impairment
Availment of advances	2,370,199	–	(2,369,295)	–	–	–	Non-interest bearing	Unsecured
Management fee expense (see Note 19)	951,121	–	(922,587)	–	–	–	Non-interest bearing	Unsecured

(Forward)



Entity	2024			2023			Terms	Conditions
	Amount	Outstanding Receivable (Payable) ⁽ⁱ⁾		Amount	Outstanding Receivable (Payable) ⁽ⁱ⁾			
		Current	Noncurrent		Current	Noncurrent		
YICT								
Extension of advances	US\$10,039	US\$–	US\$13,456	US\$–	US\$–	US\$6,892	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	57,657	–	33,087	49,439	–	31,372	Non-interest bearing	Unsecured, no impairment
Other Expense	10,579	–	(10,579)	–	–	–	Non-interest bearing	Unsecured
Joint Venture								
ACTSI								
Extension of advances	702,038	–	704,211	88,021	–	78,188	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	29,803	–	34,239	20,804	–	35,266	Non-interest bearing	Unsecured, no impairment
ACTSI								
Professional fees income	16,322	–	14,736	31,035	–	7,899	Non-interest bearing	Unsecured, no impairment
Lease of asset(xii)	15,538,127	–	(15,376,172)	–	–	–	Non-interest bearing	Unsecured
SPIA								
Extension of advances	10,945	–	(438)	12,929	–	(438)	Non-interest bearing	Unsecured
HQ managed IT income	463,051	–	94,515	492,122	–	69,892	Non-interest bearing	Unsecured, no impairment
Other Income	2,717	–	2,174	–	–	–	Non-interest bearing	Unsecured, no impairment
FAMI								
Extension of advances	87,382	–	615,606	92,659	–	540,626	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	25,914	–	16,102	16,917	–	16,065	Non-interest bearing	Unsecured, no impairment
Professional fees income	26,317	–	8,933	59,397	–	5,103	Non-interest bearing	Unsecured, no impairment
MNHPI								
Dividend income	18,686,500	–	–	20,157,500	–	–	Non-interest bearing	Unsecured, no impairment
Management fees income	1,132,200	–	70,292	1,158,436	–	9,614	Non-interest bearing	Unsecured, no impairment
Rent expense	83,709	–	(12,309)	88,756	–	(1,615)	Non-interest bearing	Unsecured
Extension of advances	22,374	–	47,493	3,213	–	115,534	Non-interest bearing	Unsecured, no impairment
Cost of Services - Arrastre, Storage Expense	–	–	6,962	–	–	6,962	Non-interest bearing	Unsecured, no impairment
Underguarantee service	–	–	193	–	–	193	Non-interest bearing	Unsecured, no impairment
HQ managed IT income	943,632	–	140,435	1,189,061	–	515,372	Non-interest bearing	Unsecured, no impairment
Other income	4,555,237	–	25,407	286	–	55,267	Non-interest bearing	Unsecured, no impairment
Professional fees income	522,766	–	110,640	224,024	–	93,809	Non-interest bearing	Unsecured, no impairment
Rent income	32,589	–	32,589	–	–	–	Non-interest bearing	Unsecured, no impairment
Common shareholder								
Prime Metro BMD Corporation								
Construction services ⁽ⁱⁱ⁾	12,664,280	13,258,561	19,343,921	6,679,641	2,016,959	–	Non-interest bearing	Unsecured, no impairment
Dredging services ⁽ⁱⁱ⁾	4,218,268	–	6,766,636	2,548,368	11,040	–	Non-interest bearing	Unsecured, no impairment

(i) Outstanding receivable and payable are presented as part of “Investment in and advances to subsidiaries” and “Due to related parties” accounts in the parent company balance sheet. As at December 31, 2024 and 2023, US\$251.7 million and US\$25.9 million were presented as part of “Investment in and advances to subsidiaries” account (see Note 4) classified as noncurrent assets in the parent company balance sheets as at December 31, 2024 and 2023, respectively. On the other hand, outstanding payable amounting to US\$1,303.8 million and US\$1,512.9 million were presented as due to related parties classified as noncurrent liabilities in the parent company balance sheets as at December 31, 2024 and 2023 respectively, while outstanding payable amounting to US\$14.1 million and US\$15.2 million were presented as due to related parties classified as current liabilities in the parent company balance sheets as at December 31, 2024 and 2023.

(ii) ICTSI has entered into contracts with Prime Metro BMD Corporation for the construction of port facilities and dredging (see Note 6).



21.2 Compensation of Key Management Personnel

Compensation of key management personnel consists of:

	2024	2023
Short-term employee benefits	US\$1,436,241	US\$1,449,844
Post-employment employee benefits (Note 22)	31,151	34,248
Share-based payments (Note 16)	1,905,158	1,284,930
Total compensation of key management personnel	US\$3,372,550	US\$2,769,022

22. Post-Employment Benefits

The Company has a separate, funded, noncontributory, defined benefit plan covering substantially all of its regular employees which is in compliance with Republic Act (R.A.) No. 7641, *Retirement Pay Law*. The benefits are based on employees' salaries and length of service.

The following tables summarize the components of the Company's retirement benefits expense recognized in the parent company statements of income and amounts recognized in the parent company balance sheets.

	2024	2023
Retirement benefits expense (included in "Manpower costs" account):		
Current service cost	US\$1,011,490	US\$871,373
Net interest cost	199,920	276,590
	US\$1,211,410	US\$1,147,963

Retirement liability:		
Present value of defined benefit obligation	(US\$14,916,035)	(US\$13,977,590)
Fair value of plan assets	12,180,213	9,648,117
	(US\$2,735,822)	(US\$4,329,473)

Changes in the present value of the defined benefit obligation:		
Balance at beginning of year	US\$13,977,590	US\$12,725,165
Current service cost	1,011,490	871,373
Interest cost	643,410	684,911
Actuarial loss (gain) on obligation:		
Experience adjustments	1,568,650	857,232
Changes in financial assumptions	(10,488)	870,287
Benefits paid	(1,426,117)	(2,052,937)
Transferred obligation	(222,167)	(67,989)
Effect of foreign exchange difference	(626,333)	89,548
Balance at end of year	US\$14,916,035	US\$13,977,590



	2024	2023
Changes in the fair value of plan assets:		
Balance at beginning of year	US\$9,648,117	US\$8,013,647
Benefits paid	(1,426,117)	(2,052,937)
Interest income	443,490	408,321
Actuarial gain on plan assets	1,460,011	532,031
Actual contributions	2,467,524	2,689,967
Effect of foreign exchange difference	(412,812)	57,088
Balance at end of year	US\$12,180,213	US\$9,648,117

The Company expects to contribute US\$4.2 million to the plan assets next year.

The principal assumptions used in determining retirement benefits obligation of the Company are shown below:

	2024	2023
Discount rate	6.11%	6.10%
Future salary increase rate	3.00%	3.00%

A quantitative sensitivity analysis for significant assumptions as at December 31, 2024 is shown below (amounts in millions):

	Discount rate		Future salary increases	
	1.0% increase	1.0% decrease	1.0% increase	1.0% decrease
Sensitivity level				
Impact on the net defined benefit obligation	(US\$0.84)	US\$0.97	US\$1.06	(US\$0.94)

The sensitivity analyses above have been determined based on a method that extrapolates the impact on net defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period.

The following payments are expected to be made in the future years out of the defined benefit plan obligation:

	2024	2023
Within the next 12 months	US\$4,764,323	US\$4,361,672
Between 1 and 5 years	4,739,933	4,716,702
Between 5 and 10 years	6,093,702	5,680,153
Beyond 10 years	39,728,286	37,643,408
Total expected payments	US\$55,326,244	US\$52,401,935

The average duration of the defined benefit plan obligation as at December 31, 2024 and 2023 is 10.20 and 10.31 years, respectively.

The plan assets of the Company are being held by its trustee banks. The investing decisions of the plan are approved by the authorized officers of ICTSI.



The following table presents the carrying amounts and fair values of the combined assets of the plans less liabilities:

	2024	2023
Cash and cash equivalents	US\$11,769	US\$1,655
Investment in debt securities	2,218,817	2,039,859
Investment in government securities	6,575,824	5,323,204
Investment in equity securities	3,225,099	2,215,133
Others	154,721	72,995
	12,186,230	9,652,846
Liabilities - accrued trust fees and retirement benefits payable	(6,017)	(4,729)
	US\$12,180,213	US\$9,648,117

The plan assets' carrying amount approximates its fair value since these are either short-term in nature or marked-to-market.

The plan assets consist of the following:

- Cash and cash equivalents, which includes regular savings and time deposits;
- Investment in equity securities include investment in ICTSI common shares amounting to US\$2.6 million and US\$1.8 million as at December 31, 2024 and 2023, respectively. For the years ended December 31, 2024 and 2023, mark-to-market gain arising from investment in ICTSI common shares amounted to US\$2.3 million and US\$1.4 million, respectively. The voting rights over the equity securities are exercised by the authorized officers of the Company;
- Investments in government securities, consisting of retail treasury bonds; and
- Investments in corporate debt instruments, consisting of both short-term and long-term corporate loans, notes and bonds.

23. Significant Contracts with the PPA

The Company has two contracts with the PPA for the exclusive management, operation, and development of the MICT and ICPC for a period of 25 years until May 18, 2038 and April 15, 2049, respectively. Under both contracts, the Company agrees to pay the PPA fixed fees and variable fees based on the Company's gross revenues, and is required to invest on port infrastructures and facilities and to acquire various port equipment. The contracts with the PPA on the operation, management and development of the MICT and ICPC require the Razon Group to retain control of ICTSI.

In 1997, the Company signed a contract for leasehold rights over the storage facilities at the MICT. Under the contract, the Company is committed to pay the PPA annual fixed fees and a variable fee based on a percentage of revenues generated from the operation of the storage facilities. This contract was renewed on June 11, 2008 and has been made co-terminus with the MICT management, operation and development contract, or up to May 18, 2038.

In 1998, the Company acquired a contract to handle non-containerized cargoes and the anchorage operations for a period of ten years starting January 1998. Under the contract, the Company is required to pay a fixed fee and a variable fee based on the Company's gross revenues. This contract



was renewed on June 11, 2008 and has been made co-terminus with the MICT management, operation and development contract, or up to May 18, 2038.

24. Contingencies

Legal Claim Contingencies

Due to the nature of the Company's business, it is involved in various legal proceedings, both as plaintiff and defendant, from time to time. The majority of outstanding litigation involves subrogation claims under which insurance companies have brought claims against the operator, shipping lines and/or brokerage firms for reimbursement of their payment of insurance claims for damaged equipment, facilities and cargoes. Except as discussed below, the Company is not engaged in any legal or arbitration proceedings (either as plaintiff or defendant), including those which are pending or known to be contemplated and its Board has no knowledge of any proceedings pending or threatened against the Company or any facts likely to give rise to any litigation, claims or proceedings which might materially affect its financial position or business. Management and its legal counsels believe that the Company has substantial legal and factual bases for its position and is of the opinion that losses arising from these legal actions and proceedings, if any, will not have a material adverse impact on the Company's financial position and results of operations.

In 1997, Paramount Company (Private) Limited (PCL) filed a case against the Company before the High Court of Sindh (HCS) for the sum of US\$17.4 million as damages as well as a 10% shareholding in Karachi International Container Terminal Limited (KICTL). PCL asserted that it was ousted from the Consortium with ICTSI and American President Lines Limited (APL) even after having obtained the approvals for the establishment of KICTL, to which PCL alleged to be entitled to receive 10% shareholding in KICTL.

ICTSI filed an application for the matter to be referred to arbitration (Arbitration Application) per its Equity Linked Security Agreement with PCL in 1995. The court, in an order dated December 16, 1998, fixed Singapore as the venue for arbitration. After dismissal of PCL's last appeal on March 17, 2022 contesting the arbitration venue, PCL was given the opportunity to file a fresh application of new venue, from Singapore to Karachi, while alleging new circumstances in an Initial Suit. On May 6, 2024, the Court issued an Order dismissing the application for a new venue and maintaining that the proceedings in the instant suit be stayed by the December 16, 1998 Order. The case is now considered closed.

Guarantees

As at December 31, 2024 and 2023, the following borrowings of ICTSI's subsidiaries were unconditionally and irrevocably guaranteed by the Company:

	Maturity	2024	2023
ITBV	2031	US\$700,000,000	US\$700,000,000
IGFBV	2026	249,230,769	258,461,538
EJD	2029	47,545,252	—
SPICTL	2026	4,127,597	9,932,162
MITL	2026	1,238,329	4,515,351
CGSA	2027	6,110,390	5,480,520
MHCPSI	2029	—	90,313,031
		US\$1,008,252,337	US\$1,068,702,602



25. Financial Instruments

25.1 Fair Values

Set out below is a comparison of carrying amounts and fair values of the Company's financial instruments by category whose fair values are different from their carrying amounts as at December 31:

	2024		2023	
	Carrying Amounts	Fair Values	Carrying Amounts	Fair Values
Financial Liabilities				
Long-term debt	US\$1,238,599,187	US\$1,236,875,162	US\$691,302,156	US\$686,010,744
Concession rights payable	257,080,703	246,258,540	246,015,037	236,928,213
Due to related parties	1,318,408,877	1,400,444,545	1,527,993,546	1,543,152,027

Carrying values of cash and cash equivalents, receivables, accounts payable and other current liabilities and loans payable approximate their fair values due to the short-term maturities of these instruments.

The fair value of fixed interest-bearing notes is based on quoted prices. For variable interest-bearing loans, the carrying amount approximates the fair value due to the regular repricing of interest rates. The fair value of fixed interest-bearing loan, concession rights payable and due to related parties were estimated as the present value of all future cash flows discounted using the applicable rates for similar types of liabilities ranging from 6.336 percent to 7.020 percent in 2024 and 6.269 percent to 7.901 percent in 2023.

The fair values of derivative assets and derivative liabilities, like forward contracts and interest rate swap, are calculated using valuation techniques with inputs and assumptions that are based on market observable data and conditions.

25.2 Fair Value Hierarchy

The following tables below present the fair value hierarchy of the Company's financial instruments as at December 31:

	2024			
	Amount	Quoted prices in active market (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
Assets and Liabilities Measured at Fair Value:				
Financial assets at FVOCI	US\$4,383,639	US\$4,383,639	US\$—	US\$—
Derivative assets	22,078,563	—	22,078,563	—
Derivative liabilities	(14,205,755)	—	(14,205,755)	—
Financial Liabilities for which Fair Values are Disclosed:				
Long-term debt	1,236,875,162	391,976,000	—	844,899,162
Concession rights payable	246,258,540	—	—	246,258,540
Due to related parties	1,400,444,545	—	—	1,400,444,545



		2023		
		Quoted prices in active market (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
		Amount		
Assets and Liabilities Measured at Fair Value:				
Financial assets at FVOCI	US\$3,341,775	US\$3,341,775	US\$–	US\$–
Derivative assets	3,119,942	–	3,119,942	–
Derivative liabilities	(32,233,134)	–	(32,233,134)	–
Financial Liabilities for which Fair Values are Disclosed:				
Long-term debt	686,010,744	686,010,744	–	–
Concession rights payable	236,928,213	–	–	236,928,213
Due to related parties	1,543,152,027	–	–	1,543,152,027

In 2024 and 2023, there were no transfers between Level 1 and Level 2 fair value measurements and no transfers into and out of Level 3 fair value measurements.

25.3 Derivative Financial Instruments

ICTSI enters into derivative transactions as economic hedges of certain underlying exposures such as foreign currency and interest rate exposures arising from its Philippine peso-denominated and floating rate loans. Such derivatives, which include interest rate swap and currency forwards, are accounted for either as cash flow hedges or transactions not designated as hedges.

25.3.1 Hedge Accounting

Interest Rate Swap. In September 2023 and January 2024, ICTSI entered into interest rate swap transactions to hedge the interest rate exposure of the floating rate facility maturing in 2029. A total notional amount of US\$750.0 million floating rate loan was swapped to a fixed rate. Under the interest rate swap arrangements, fixed interest will be paid, and floating interest based on six-month term SOFR will be received.

The following table presents the market valuation on the outstanding interest rate swap at ICTSI as at December 31:

		Presented in the balance sheet as:	
		Current Derivative Asset (Liability)	Noncurrent Derivative Asset (Liability)
	Cumulative Gain (Loss)		
2023	(7,196,992)	3,119,942	(10,316,934)
2024	7,033,183	4,243,529	2,789,654

The effective portion of the change in the fair value of the interest rate swaps amounting to US\$10.7 million, net of US\$3.6 million deferred tax, for the year ended December 31, 2024, was taken to other comprehensive income under equity. The effective portion of the change in the fair value of the interest rate swaps amounting to US\$5.4 million, net of US\$1.8 million deferred tax, for the year ended December 31, 2023 was taken to other comprehensive loss under equity.

Cross-Currency Swaps. On March 22, 2024, ICTSI entered into a cross-currency swap transaction to hedge the foreign currency exposure on the Company's JPY15.9 billion short-term loan facility maturing on March 21, 2025. Under the cross-currency swap, ICTSI sells JPY15.9 billion for value on March 22, 2024 on the near leg and buys JPY16.1 billion for value on March 18, 2025 on the far leg. On June 7, 2024, ICTSI entered into a cross-currency swap transaction to hedge the foreign currency exposure on the Company's JPY8.6 billion short-term loan facility maturing on March 21, 2025. Under the cross-currency swap, ICTSI sells JPY8.6 billion for value on



June 7, 2024 on the near leg and buys JPY8.7 billion for value on March 18, 2025 on the far leg. The notional amounts of the cross-currency swaps equal that of the loans. As at December 31, 2024, the market valuation gain on the outstanding cross-currency swaps amounted to US\$14.2 million, reflected in the balance sheet as derivative liabilities and classified as current. The effective portion of the change in fair value of the cross-currency swaps amounting to US\$5.3 million, net of US\$1.8 million deferred tax, for the year ended December 31, 2024, was taken to other comprehensive loss under equity. Foreign exchange gain on the loan amounting to US\$5.3 million, net of US\$1.8 million deferred tax, for the year ended December 31, 2024 was taken to other comprehensive income under equity. No ineffectiveness was recognized in the parent company statement of income for the year ended December 31, 2024.

Translation Hedging. ICTSI designated its PHP-denominated concession rights payable relating to the new concession at ICPC amounting to PHP1.3 billion (US\$22.2 million) to hedge the currency risk on its forecasted PHP-denominated revenues from operating the ICPC. Effective portion of the hedge is deferred in equity while any ineffective portion is recognized directly in earnings. Foreign currency translation gains or losses deferred in equity will be recycled to profit and loss upon occurrence of the forecasted revenue. As at December 31, 2024, foreign currency translation loss on the said liability aggregating to US\$217.4 thousand, net of US\$72.5 thousand deferred tax, was taken to other comprehensive loss under equity. No ineffectiveness was recognized in the parent company statement of income for the year ended December 31, 2024.

25.3.2 Derivative Instruments Not Designated as Hedges

Foreign Currency Forwards. ICTSI has entered into various short-term forwards with ICTSI Ltd. and ICTHI to sell US Dollars and receive Philippine Pesos.

In July 2023, a forward with a notional amount of US\$100 million was pre-terminated. The settlement resulted in a loss of US\$4.2 million recognized in the parent company statement of income.

As at December 31, 2023, forwards with aggregate notional amounts of US\$1.8 billion were outstanding and have been presented as current liabilities amounting to US\$21.9 million. Market valuation loss on the said forwards amounting to US\$54.3 million was recorded in the parent company statement of income during the year ended December 31, 2023.

In September 2024, forwards with aggregate notional amounts of US\$1.8 billion were pre-terminated. The settlement resulted in a loss of US\$1.2 million recognized in the parent company statement of income.

As at December 31, 2024, the sole forward with a notional amount of US\$450 million was outstanding and has been presented as a current asset amounting to US\$15.0 million. Market valuation gain on the said forward amounting to US\$15.0 million was recorded in the parent company statement of income for the year ended December 31, 2024.



26. Financial Risk Management Objectives and Policies

Financial risk management objectives and policies are generally carried at ICTSI Group level. The principal financial instruments of the Company comprised mainly of bank loans and cash and cash equivalents. The main purpose of these financial instruments is to raise working capital and major capital investment financing for the Company's port operations. The Company has various other financial assets and financial liabilities such as trade receivables and trade payables, which arise directly from its operations.

ICTSI has port operations and development projects in various countries. Short-term treasury activities are carried at the subsidiary level; however, overall policy decisions concerning the Company's financial risks are centralized at the Company in Manila, Philippines. The Board reviews and approves the Company's policies for managing each of these risks, as summarized below, as well as authority limits. Treasury operations are reviewed annually by Internal Audit to ensure compliance with the Company's policies.

ICTSI finances its business activities through a mix of cash flows from operations and long-term loans from banks. It is the Company's policy to minimize the use of short-term loans. The Company's borrowings are in US dollars and Japanese Yen at fixed and floating rates of interest. It is, and has been throughout the year under review, the Company's policy that no trading in financial instruments shall be undertaken.

In the context of PFRS 7, the main risks arising from the normal course of the Company's business are liquidity risk, foreign currency risk and credit risk.

Working Capital Management

The Company has minimal working capital requirements due to the short cash collection cycle of its business. Working capital requirements are well within the credit facilities established which are adequate and available to the Company to meet day-to-day liquidity and working capital requirements. The credit facilities are regularly reviewed by the Treasury Group to ensure that they meet the objectives of the Company.

Interest Rate Risk

The Company's exposure to market risk for changes in interest rates relates primarily to the floating interest USD term loan availed in 2024.

The sensitivity to a reasonably possible change in interest rate, with all other variables held constant, of ICTSI's income before income tax at December 31, 2024 follows (amounts in millions unless otherwise indicated):

Increase/Decrease in Interest Rates (%)	Impact on income before tax
+1.0	(US\$1.0)
-1.0	1.0

Liquidity Risk

The Company monitors and maintains a level of cash and cash equivalents and bank credit facilities deemed adequate by management to finance the Company's operations, ensure continuity of funding and to mitigate the effects of fluctuations in cash flows. The Company's policy is that not more than 25 percent of borrowings should mature in any 12-month period. 11 percent and Nil percent of the Company's total borrowings, gross of debt issuance costs, as at December 31, 2024 and 2023, respectively, will mature in the ensuing 12 months. The Company is reassessing its policy in mitigating liquidity risk in line with the current developments and demands of its rapidly growing business.



The tables below summarize the maturity profile of the Company's financial liabilities as at December 31, 2024 and 2023 based on contractual undiscounted payments.

2024						
	Due and Demandable	Less than 3 Months	>3 to 6 Months	>6 to 12 Months	>1 to 5 Years	More than 5 Years
	(In Millions)					
	US\$—	US\$—	US\$—	US\$—	US\$1,150.0	US\$100.0
	—	0.5	0.5	1.0	9.7	7.6
Long-term debt	—	—	—	—	—	—
Lease liability	—	—	—	—	—	—
Accounts payable and other current liabilities*	—	—	140.3	—	—	—
Loans payable	—	155.6	—	—	—	—
Concession rights payable	—	6.2	6.2	12.5	128.2	246.0
Due to related parties	7.2	36.9	1.4	6.0	134.5	1,132.4
	US\$7.2	US\$199.2	US\$148.4	US\$19.5	US\$1,422.4	US\$1,486.0
	US\$1,250.0	US\$19.3	US\$140.3	US\$155.6	US\$399.1	US\$1,318.4

*Excluding statutory liabilities and provision for claims and losses

2023						
	Due and Demandable	Less than 3 Months	>3 to 6 Months	>6 to 12 Months	>1 to 5 Years	More than 5 Years
	(In Millions)					
	US\$—	US\$—	US\$—	US\$—	US\$—	US\$700.0
	—	—	—	—	—	—
Long-term debt	—	—	—	—	—	—
Accounts payable and other current liabilities*	—	—	100.4	—	—	—
Concession rights payable	—	6.1	2.9	2.9	69.8	164.4
Due to related parties	—	—	—	15.2	1,294.4	218.4
	US\$—	US\$6.1	US\$103.3	US\$18.1	US\$1,364.2	US\$1,082.8
	US\$700.0	US\$100.4	US\$246.0	US\$1,528.0	US\$2,574.4	US\$2,574.4

*Excluding statutory liabilities and provision for claims and losses

The financial liabilities in the above tables are gross undiscounted cash flows. The Company may use its cash and cash equivalents to manage liquidity risk.

Changes in liabilities arising from financing activities

	December 31, 2023	Cash flows	Foreign exchange movement	Others*	December 31, 2024
Due to related parties	US\$1,527,993,546	(US\$196,883,007)	US\$—	(US\$12,701,662)	US\$1,318,408,877
Interest on borrowings and concession rights payable	7,304,629	(170,825,484)	—	176,678,806	13,157,951
Long-term debt	691,302,156	547,297,031	—	—	1,238,599,187
Loans payable	—	162,601,200	(7,003,236)	—	155,597,964
Lease liability	—	(161,956)	—	15,495,621	15,333,665
Dividends payable	4,192,013	(399,338,991)	—	400,200,924	5,053,946
Total liabilities from financing activities	US\$2,230,792,344	(US\$57,311,207)	(US\$7,003,236)	US\$579,673,689	US\$2,746,151,590

* Others include declaration of dividends and accrual of interest on lease liability, borrowings and concession rights payable.

	December 31, 2022	Cash flows	Foreign exchange movement	Others*	December 31, 2023
Due to related parties	US\$1,701,568,780	(US\$174,157,375)	US\$582,141	US\$—	US\$1,527,993,546
Interest on borrowings and concession rights payable	6,506,440	(152,988,047)	—	153,786,236	7,304,629
Long-term debt	393,500,390	297,801,766	—	—	691,302,156
Loans payable	—	—	—	—	—
Dividends payables	3,235,352	(370,267,209)	—	371,223,870	4,192,013
Total liabilities from financing activities	US\$2,104,810,962	(399,610,865)	US\$582,141	US\$525,010,106	US\$2,230,792,344

* Others include declaration of dividends and accrual of interest on lease liability, borrowings and concession rights payable.

Foreign Currency Risk

In respect of financial assets and liabilities held in currencies other than the Company's functional currency, the net exposure is kept to an acceptable level by buying or selling foreign currencies at spot/forward rates where necessary to address short-term imbalances.



The following table shows the Company's significant Philippine peso financial assets and financial liabilities and their US dollar equivalents as at December 31:

	2024	
	Philippine Peso	In US Dollars
Current Financial Assets		
Cash and cash equivalents	₱3,710,277,635	US\$64,136,173
Due from related parties	676,441,371	11,693,023
Receivables	398,021,959	6,880,241
	4,784,740,965	82,709,437
Current Financial Liabilities		
Accounts payable and other current liabilities	5,454,060,380	94,279,350
Due to related parties	152,635,935	2,638,478
	5,606,696,315	96,917,828
Net foreign currency denominated financial liabilities	(₱821,955,350)	(US\$14,208,391)

	2023	
	Philippine Peso	In US Dollars
Current Financial Assets		
Cash and cash equivalents	₱4,382,942,326	US\$79,159,481
Due from related parties	1,741,375,606	13,577,457
Receivables	1,573,134,204	28,411,305
	7,697,452,136	121,148,243
Current Financial Liabilities		
Accounts payable and other current liabilities	2,203,810,185	39,934,915
Due to related parties	225,922,641	4,421,752
	2,429,732,826	44,356,667
Net foreign currency denominated financial assets	₱5,267,719,310	US\$76,791,576

In translating the Philippine peso financial assets and financial liabilities into US dollar amounts, the Company used the following closing exchange rates at the balance sheet date.

	2024	2023
Philippine peso (₱) to 1 unit of US\$	57.85	55.37

The following table presents the impact on the Company's income before income tax (due to change in the fair value of foreign currency denominated financial assets and liabilities) of changes in the exchange rate between the foreign currencies and the US dollar (holding all other variables constant) as at December 31 (amounts in millions of US dollar unless otherwise indicated):

	2024	2023
	Effect on Income Before Tax	
Change in Philippine peso to US dollar exchange rate:		
5% appreciation	US\$1.1	US\$5.01
5% depreciation	(1.2)	(4.53)



Credit Risk

The Company trades only with recognized, creditworthy third parties and the exposure to credit risk is monitored on an ongoing basis with the result that the Company's exposure to bad debts is not significant. Since the Company trades only with recognized third parties, collateral is not normally required in respect of financial assets. Moreover, counterparty credit limits are reviewed by management on an annual basis. The limits are set to minimize the concentration of risks and mitigate financial losses through potential counterparty failure.

With respect to credit risk arising from the other financial assets of the Company, which comprise cash and cash equivalents, and available-for-sale financial assets, the Company's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying amount of these instruments.

As at December 31, 2024 and 2023 about 79 percent and 89 percent, respectively, of the cash in bank and cash equivalents of the Company were with four local banks. Investments of funds are made only with counterparties approved by the Board. The maximum exposure to credit risk is represented by the carrying amount of each financial asset in the balance sheets as shown in the table below:

	2024	2023
Financial Assets at Amortized Cost		
Cash in banks and cash equivalents:		
Cash in banks	US\$26,692,989	US\$21,973,331
Cash equivalents	349,603,258	130,470,124
Receivables*:		
Trade	28,805,561	23,729,749
Nontrade	3,822,863	4,488,511
	US\$408,924,671	US\$180,661,715

*Net of allowance for doubtful accounts

As at December 31, the following tables provide credit information on the Company's financial assets:

	2024			
	Neither Past Due nor Impaired	Past Due but not Impaired	Impaired	Total
	<i>(In Millions)</i>			
Financial Assets at Amortized Cost				
Cash in banks and cash equivalents:				
Cash in banks	US\$30.0	US\$—	US\$—	US\$30.0
Cash equivalents	349.6	—	—	349.6
Receivables:				
Trade	26.5	2.3	0.2	29.0
Nontrade	4.8	—	0.4	5.2
	US\$410.9	US\$2.3	US\$0.6	US\$413.8



2023				
	Neither Past Due nor Impaired	Past Due but not Impaired	Impaired	Total
<i>(In Millions)</i>				
Financial Assets at Amortized Cost				
Cash in banks and cash equivalents:				
Cash in banks	US\$22.0	US\$—	US\$—	US\$22.0
Cash equivalents	130.5	—	—	130.5
Receivables:				
Trade	23.0	0.4	0.3	23.7
Nontrade	—	4.2	0.3	4.5
	US\$175.5	US\$4.6	US\$0.6	US\$180.7

As at December 31, the credit quality classifications for each class of financial assets that were neither past due nor impaired were as follows:

2024				
	Neither Past Due nor Impaired			Total
	Grade A	Grade B	Grade C	
<i>(In Millions)</i>				
Financial Assets at Amortized Cost				
Cash and cash equivalents:				
Cash in banks	US\$30.0	US\$—	US\$—	US\$30.0
Cash equivalents	349.6	—	—	349.6
Receivables:				
Trade	16.5	7.5	2.5	26.5
Nontrade	4.8	—	—	4.8
	US\$400.9	US\$7.5	US\$2.5	US\$410.9

2023				
	Neither Past Due nor Impaired			Total
	Grade A	Grade B	Grade C	
<i>(In Millions)</i>				
Financial Assets at Amortized Cost				
Cash and cash equivalents:				
Cash in banks	US\$22.0	US\$—	US\$—	US\$22.0
Cash equivalents	130.5	—	—	130.5
Receivables:				
Trade	14.6	5.6	2.8	23.0
Nontrade	—	—	—	—
	US\$167.1	US\$5.6	US\$2.8	US\$175.5

The credit quality of the financial assets was determined as follows:

Cash and cash equivalents, derivative financial assets and financial assets at FVOCI - based on the credit standing of the counterparty.



Receivables - Grade A receivables pertains to those receivables from clients or customers that always pay on time or even before the maturity date. Grade B includes receivables that are collected on their due dates provided that they were reminded or followed up by the Company. Those receivables which are collected consistently beyond their due dates and require persistent effort from ICTSI are included under Grade C.

As at December 31, the aging analyses of the receivables that were past due but not impaired follow:

2024				
	Past Due but not Impaired			Total
	31-60 Days	61-90 Days	Over 90 Days	
	<i>(In Millions)</i>			
Trade	US\$1.8	US\$–	US\$0.5	US\$2.3
Nontrade	–	–	–	–
	US\$1.8	US\$–	US\$0.5	US\$2.3
2023				
	Past Due but not Impaired			Total
	31-60 Days	61-90 Days	Over 90 Days	
	<i>(In Millions)</i>			
Trade	US\$0.2	US\$0.2	US\$–	US\$0.4
Nontrade	–	0.6	3.6	4.2
	US\$0.2	US\$0.8	US\$3.6	US\$4.6

Capital Management

The primary objective of the Company's capital management is to ensure that it maintains strong credit rating and healthy capital ratios in order to support its business and maximize shareholder value.

The Company considers the total equity as its capital. The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes for the years ended December 31, 2024 and 2023.

The Company monitors capital using consolidated gearing ratio. Gearing ratio is total debt over net worth (total equity) where total debt includes long-term debt and loans payable based on its consolidated financial statements.

The Company's policy is to keep the gearing ratio within two times.

	2024	2023
Consolidated long-term debt	US\$2,486,819,421	US\$2,032,426,011
Consolidated loans payable	167,504,595	139,562,649
Total consolidated debt (a)	US\$2,654,324,016	US\$2,171,988,660
Consolidated net worth or total equity (b)	US\$1,904,126,854	US\$1,905,167,788
Gearing ratio (a÷b)	1.39 times	1.14 times



27. Earnings Per Share

The following table presents information necessary to calculate earnings per share:

	2024	2023
Net income (a)	US\$542,910,413	US\$273,271,076
Common shares outstanding at beginning of year	2,045,177,671	2,045,177,671
Weighted average treasury shares	(12,371,238)	(13,596,351)
Weighted average shares outstanding (b)	2,032,806,433	2,031,581,320
Effect of dilutive stock grants	4,594,388	4,285,683
Weighted average shares outstanding adjusted for potential common shares (c)	2,037,400,821	2,035,867,003
Basic earnings per share (a÷b)	US\$0.267	US\$0.135
Diluted earnings per share (a÷c)	US\$0.266	US\$0.134

28. Other Matters

The Company is exposed to a number of trends, events and uncertainties which can affect its recurring revenues and profits. These include levels of general economic activity and containerized trade volume in the Philippines and where the Company has investments, as well as certain cost items, such as labor, fuel and power. In addition, the Company collects revenues and transacts in various currencies. Appreciation of the US dollar relative to other major currencies, particularly the Philippine peso, among others, may adversely affect the Company's reported levels of revenues and profits.

Russia-Ukraine and Israel-Hamas Conflicts

On February 24, 2022, Russia launched a military attack on Ukraine that escalated an ongoing conflict that began in 2014.

On October 8, 2023, Israel officially declared war against the Palestinian militant group Hamas related to a surprise attack by Hamas. This declaration has triggered a potential escalation in the ongoing conflict, posing a threat to the stability of the region.

These events set several uncertainties with the potential to disrupt businesses and institutions and pose threat to world trade and economies, in general. The continuing effect of the situation on businesses and institutions could result in business continuity interference, trade disruptions, rising prices of basic commodities including oil and power, among others. These events had no material impact on the Company's business.

The scale and duration of these developments and events remain uncertain as of March 5, 2025. It is not possible to estimate the overall impact of the wars' near-term and longer effects. The Company will continue to closely monitor the progress of these situations.



29. Events After the Balance Sheet Date

Purchase of Treasury Shares

ICTSI acquired 3.2 million shares for US\$19.4 million since January 2025.

Vesting of SIP Awards

1.9 million treasury shares were issued to certain officers and employees of ICTSI and its subsidiaries on March 3, 2025 upon vesting of stock awards previously granted.

30. Supplementary Information Required Under Revenue Regulations 15-2010

The Company reported and paid the following types of taxes for the year ended December 31, 2024:

30.1 VAT

Details of the Company's gross receipts, output VAT and input VAT accounts are as follows:

30.1.1 Gross receipts and Output VAT declared in the Company's VAT returns filed for 2024

	Gross Receipts	Output VAT
Taxable sales:		
Sales of services ¹	₱14,699,032,766	₱1,763,883,932
Management fees	482,253,765	57,870,452
Rental income	141,161,734	16,939,408
HQ-managed IT income	104,606,561	12,552,787
Other income	406,655,355	48,798,643
Reimbursement	1,125,682	135,081
	15,834,835,863	1,900,180,303
Zero-rated sales:		
Sales of services ²	₱19,223,520,210	₱-
Royalty fees	2,984,995,104	-
Management fees ²	437,179,640	-
HQ-managed IT income	417,721,548	-
Other income	74,923,935	-
	23,138,340,437	-
	₱38,973,176,300	₱1,900,180,303

¹ Sales of services are reported under the following accounts:

- a. Import cargoes
- b. Export cargoes
- c. Vessel charges
- d. Anchorage services
- e. Special services
- f. Storage fees

These are adjusted for discounts which are recorded in discounts and allowances.

The Company's sales of services are based on actual collections received, hence, may not be the same as amounts accrued in the parent company statements of income.



- ² Zero-rated sales arising from sales of services pertain to gross receipts from services rendered to persons engaged in international shipping operations and sales from royalty and management fees pertain to gross receipts from services rendered to non-resident foreign corporation are subject to VAT zero-rating pursuant to Section 108(B)(4) of the National Internal Revenue Code (NIRC) of 1997, as amended.

30.1.2 Input VAT

Balance at January 1, 2024	₱-
Current year's purchases/payments for:	
Services lodged under expenses	1,546,514,736
Capital goods subject to amortization	-
Capital goods not subject to amortization	14,429,360
Goods other than for resale or manufacture	477,147,847
Input VAT on Capital Goods subject to amortization deferred to the next period, net of input VAT applied against output VAT	72,390,357
Less: Applied against output VAT	1,855,868,545
Balance at December 31, 2024	₱254,613,755

30.2 Importations

Details of the Company's importations are shown below:

Total landed cost of imports	₱3,126,126,587
Customs duties	23,757,058
Import processing fees	5,872,679

30.3 Documentary Stamp Taxes

Documentary stamp taxes (DST) paid by the Company are shown below:

Transaction	Amount	DST
DST on bank loans	₱39,595,144,779	₱296,963,586
DST on intercompany loans	23,457,022,303	175,927,667
DST on purchase of real property	2,428,283,100	36,424,245
DST for advances from/to subsidiaries	95,764,200	718,232
DST on leases	2,751,300	5,505
DST on other documents (e.g., loose documentary stamps)	-	18,000
	₱65,578,965,682	₱510,057,235

The above paid documentary stamp taxes are lodged under the "Taxes and licenses" classified and presented as part of "Administrative and other operating expenses" account in the parent company statement of income.

30.4 Other Taxes and Licenses

This includes all other taxes, local and national, including real estate taxes, licenses and permit fees lodged under the "Taxes and licenses" classified and presented as part of "Administrative and other operating expenses" account in the parent company statement of income as follows:



a. Local

Local business tax	₱213,024,753
Real property tax	79,111,613
Permits, vehicle registration and others	3,557,569
Other payment to government agencies	1,220,608
	<u>₱296,914,543</u>

b. National

Documentary stamp tax	₱510,057,235
Donor's tax	86,851
	<u>₱510,144,086</u>

30.5 Withholding Taxes

Details of withholding taxes paid/accrued for the year are as follows:

Final withholding tax	₱3,083,872,664
Withholding on compensation and benefits	440,731,615
Expanded withholding tax	506,173,484
Fringe benefits tax	58,693,595

30.6 Status of Tax Assessment and Court Cases

There were no deficiency tax assessments issued by the BIR to the Company during the calendar year ended December 31, 2024. There were also no pending tax cases nor litigation and/or prosecution in courts or bodies outside the BIR in 2024.

